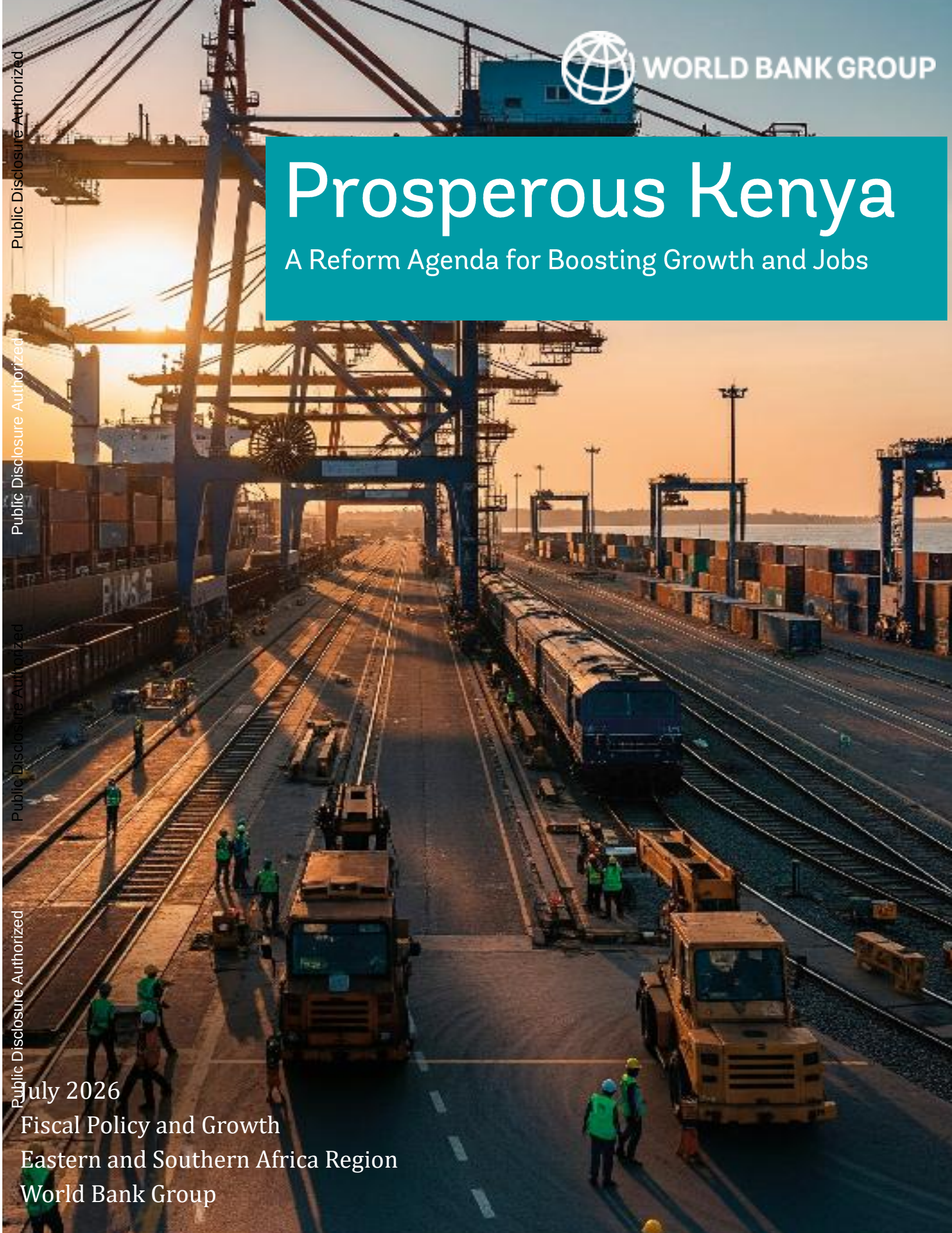
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WORLD BANK GROUP

Prosperous Kenya

A Reform Agenda for Boosting Growth and Jobs



July 2026

Fiscal Policy and Growth

Eastern and Southern Africa Region

World Bank Group

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Authors: Jorge Tudela Pye and Marek Hanusch

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Table of Contents

Acknowledgements 1

Executive Summary 2

1.Introduction 7

2.Setting the scene: Growth drivers during the last 20 years 9

3.How was growth financed? A twin deficit story 12

4.Unpacking the constraints and the way forward 15

A.Fiscal constraints 17

B.External constraints 22

C.Productivity constraints 27

D.Climate constraints 35

Bibliography 40

Acknowledgements

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Executive Summary

Kenya recorded solid and sustained economic growth rates during the last two decades, which brought increased incomes, poverty reduction, and improved well-being to its citizens. Real gross domestic product (GDP) grew at an average rate of 4.5 percent between 2001 and 2025, primarily supported by the services and non-tradable sectors, including the public sector. Growing numbers of young workers joined the labor force, and while still most Kenyans live in rural areas, urbanization rates increased by around 10 percentage points between this period.[1] Labor force participation rates rose by 10 percentage points between 2006 and 2016, with unemployment decreasing from 10 to 3 percent during these 10 years. As household incomes rose, poverty fell from 46.7 percent to 36.1 percent between 2005 and 2015, and to 33.6 percent in 2019. The poorest households benefited the most from economic growth as citizens gained increased access to jobs and basic services such as water, health, and education.

However, the effects of the COVID-19 pandemic, rising macroeconomic vulnerabilities, and persistently weak job creation trends reveal deeper structural constraints in the economy that undermine Kenya's longer-term growth prospect and potential for promoting jobs and prosperity. Poverty rates sharply rose after the COVID-19 pandemic, increasing to 42.9 percent in 2020 and rising by 9.3 percentage points since 2019. Thereafter, although poverty rates decreased, they are still above pre-pandemic levels. Moreover, Kenya's fiscal situation is precarious: public debt stood at 71.3 percent of gross domestic product (GDP) at the end December 2025, and the risk of debt distress is high. The ambitious Finance Bill 2024 led to unprecedented protests and a social backlash that required its subsequent withdrawal. Coupled with an economic slowdown and declining wages, Kenya's outlook places the country at a crossroads.

Economic growth that also brings increasing private investment and quality jobs is unable to be sustained and be inclusive if constraints are not addressed. Economic growth has indeed created more jobs for Kenyans and initially was poverty-reducing. But the presence of these constraints seems to be challenging the ability of the economy to create enough supply of quality jobs going forward—enough jobs that pay higher wages in formal labor-intensive sectors. High-skilled workers find jobs in skill-intensive services and in the public sector, with higher wages but with limited labor-absorption capacity. Given the spectrum of skills that Kenyan workers possess, the majority of workers—low skilled workers—are relegated to lower-productivity jobs in non-tradable informal services and traditional agriculture that have limited capacity to grow and provide better wages.

The four interrelated constraints are:

1. **Fiscal constraints:** Large government-led investment programs, increased public spending, and limited revenue collection drove large increases in public debt, backed by external foreign-currency inflows in the form of government borrowing. In a context of tighter international financial conditions, with high debt services and low non-debt financing

[1] Kenya's share of urban population increased from 20 percent in 2001 to 30 percent in 2023 (Source: WDI).

sources, a growth strategy based on running fiscal deficits backed by external public debt exposes Kenya to macroeconomic volatility and risks, contributing to external constraint through twin fiscal and current account deficits. In addition, it crowds out the private sector, raising interest rates and reducing the availability of funds for them to undertake productive investments, hampering its potential to create jobs and accelerate poverty reduction. Although the GoK is currently implementing reforms to address ongoing macroeconomic challenges, sustaining fiscal consolidation is critical to addressing this constraint.

2. **External constraints:** In the absence of large-scale government borrowing, Kenya would be unable to sustain its historically large current account deficits, especially considering weakening exports and low foreign direct investment (FDI). Kenya's exports have become less competitive over the years, the economy has not diversified much, and its level of export sophistication has not increased. High trade costs compounded with the declining relative competitiveness of goods exports—a consequence of a productivity constraint between services and other sectors—are a key reason for this constraint. Moreover, the country is weakly integrated into global value chains. Boosting exports and seizing the opportunities from trade agreements, opening the economy to FDI, and promoting productivity growth through international competition and across tradable sectors is critical to addressing this constraint.
3. **Productivity constraints:** Labor-intensive tradable sectors—mostly formal agribusiness and manufacturing—grew relatively slower because of external constraints and because of stronger services growth, which reduced the relative competitiveness of merchandise producers. High public sector wage premiums attract highly skilled workers, but there are risks of crowding out the private sector. These constraints seem to be distorting local labor markets and do not create enough good jobs for the majority of entrants, who tend to be low-skilled workers. High-skilled workers are the ones who are finding the most productive jobs; of the 800,000 people that join the labor markets every year, fewer than 100,000 find formal jobs. Because of this reality, most of the poverty reduction gains brought by the growth period were reverted by the COVID-19 pandemic, as many workers found it challenging to keep their jobs during that time.[2] Labor productivity is low across several sectors of the economy, and total factor productivity grew close to zero on average in the last 20 years. To reduce this productivity constraint, Kenya needs to increase linkages between the most and least productive sectors and firms in the economy and reduce the existing skill's gap between its workers. Moreover, firms need to rise and grow in Kenya. Improving the business environment, fostering competition, strengthening infrastructure, and transforming a strong human capital foundation into skills while enabling skills transfers between higher and lower skilled workers will support these efforts. Attracting skilled migrants can also help meet the skills gap in the shorter term.
4. **Climate constraints**: Even though Kenya has contributed little to climate change and is leader in climate initiatives in the region, it suffers disproportionately from it. Climate shocks are increasing in frequency and intensity, with repeated episodes of flooding and drought affecting the country during 2024–2026. . These take a significant toll on the country,

[2] Poverty rates rose after the COVID-19 pandemic, increasing to 42.9 percent in 2020 and rising by 9.3 percentage points. The poverty headcount ratio partially recovered to 38.6 percent in 2021, although it remains above pre-pandemic levels.

especially on the poorest and most vulnerable citizens and undermine economic growth, the sustainability of public finances, and job creation. Moreover, the country has vast resources and is well positioned to gain from its green potential, able to play a crucial role in the global climate solutions arena and the low-carbon transition. To address this constraint, Kenya needs to boost its climate resilience and disaster risk financing mechanisms. Policy priorities include improving the management of water, land, and forests for climate-resilient agriculture and rural economies, adapting its infrastructure and service delivery to withstand potential disruptions caused by climate hazards, utilize climate finance instruments to leverage from its green assets, building contingency fiscal buffers and disaster risk financing instruments. It also requires accelerating the green transition by implementing a multifaceted approach to expand renewable energy, green transport, and logistics operations, and further leverage the country's comparative advantage in the digital arena.

Decisive policy action is needed to rebalance and thus reinvigorate Kenya's growth and create more jobs that pay and sustain higher wages. This report was prepared under the Kenya Jobs Platform and informs the preparations of a Country Growth and Jobs Report for Kenya. Drawing from published reports and analysis produced by the Kenya Country Teams in recent years, [3] this document provides a growth narrative of Kenya's economic trajectory of the last 20 years, with a focus of explaining the sources of current short- and medium-term growth and jobs challenges. It then proposes set of policy principles and recommendations that would support the GoK in overcoming them and igniting sustained and inclusive economic growth, in alignment with its Bottom-up Economic Transformation Agenda 2022–2027 (BETA).

[3] This including Kenya Public Finance Review (2025), Kenya Country Economic Memorandum: Seizing Kenya's Services Momentum (2023), Kenya Poverty and Equity Assessment (2023), Kenya Economic Update (Editions 28 and 29), Kenya Public Expenditure Review (2020), Kenya Country Climate Development Report (2023), Kenya - First Kenya Fiscal Sustainability and Resilient Growth Development Policy Operations Program (2024), among others,

Urgent Policy Priorities for a Prosperous Kenya





Economic constraint	Urgent Policy Priorities
Fiscal constraint	• Enhancing the efficiency and equity of the tax system • Improve expenditure efficiency and equity • Improve transparency and accountability of public spending • Strengthening governance and accountability to contain corruption
External constraint	• Implement trade agreements, including AfCFTA, AGOA, and EU-EPA. • Align domestic regulations with international standards, especially environmental standards • Boost FDI and investment promotion efforts, including systemic support to investors, opening up domestic sectors to FDI, implementing international investment protocols, foster the role of KenInvest, among others.
Productivity constraint	• National and sub-national licensing: Addressing both economy-wide and sectoral regulatory inefficiencies and align county licensing procedures to avoid fragmentation. • Reduce barriers to competition in key sectors, including where enterprises with State shareholding operate, to allow for entry and expansion of more productive market players. • Increase access to affordable infrastructure services and improve infrastructure management • Enhancing equity and quality in basic and tertiary education, and boost innovation
Climate constraint	• Enhance water productivity of existing rainfed cropping systems and develop policies to sustain water resources in landscapes. • Explore concessional green financing opportunities, such as credit-enhanced sovereign green or sustainability-linked financing (SLF).

	• Leverage on the country's natural capital, supporting conservation and ecotourism initiatives • Multifaceted approach to leverage from the green transition: expand renewable energy, green transport, logistics operations, and leverage the country's comparative advantage in the digital arena.

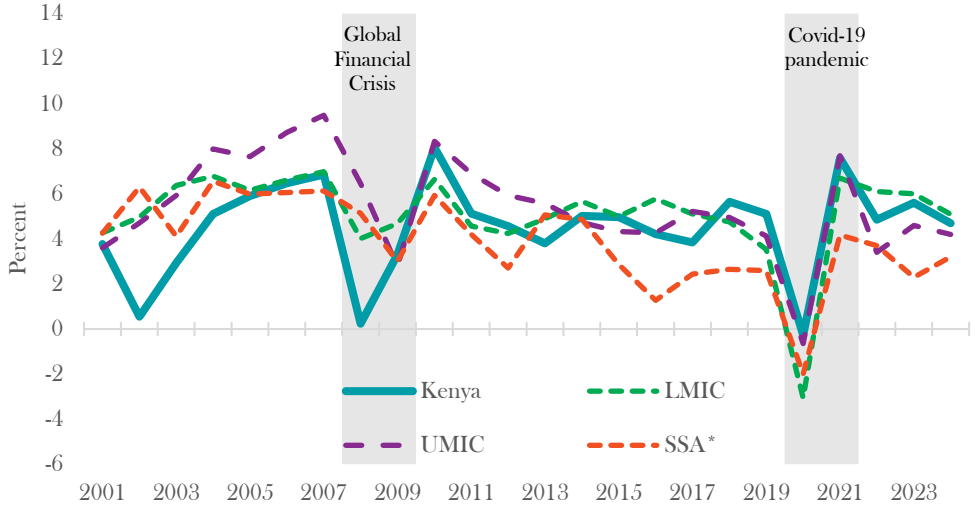
1. Introduction

To sustain economic growth, reduce poverty and make economic gains more inclusive, Kenya needs to address pressing structural challenges.

Kenya recorded solid and sustained economic growth rates during the last two decades, which translated into increased incomes, poverty reduction, and improved well-being to its citizens. Real gross domestic product (GDP) grew at an average rate of 4.5 percent between 2001 and 2025. Although economic growth in Kenya was slower during the 2000s decade in comparison with income-level and sub-Saharan African (SSA) averages, the country was able to sustain these growth rates thereafter, surpassing its peers during the 2010s and growing at an average rate of 4.6 percent during 2011–2024 (Figure 1). Economic growth translated into increased incomes and strong poverty reduction, especially between 2005 and 2015, where more than 200,000 Kenyans escaped from poverty as the population was growing.[4] The poorest households benefited the most from economic growth, particularly in rural areas, and thus inequality also decreased.[5] Access to basic services also improved, including enhanced water sources, rising access to electricity, and increased asset ownership (World Bank, 2023a).

Kenya's growth performance during the last two decades has been relatively strong

Figure 1. Real GDP growth, Kenya, and selected country groups, 2001–2024



Source: World Development Indicators (WDI), World Bank.
Note: LIC = low-income countries; LMIC = lower-middle-income countries; SSA = sub-Saharan African countries excluding high-income countries

[4] The poverty headcount fell from 46.7 percent to 36.1 percent between 2005 and 2015, a 1.1 percentage points per year decrease, on average, meaning that around 210,545 less Kenyans were below the poverty line. These years coincides with a period of robust GDP per capita growth of 2.0 percent per year, along with a strong growth in private consumption, which grew at an average rate of 2.3 percent between these years.
[5] The Gini index, a measure of income inequality, declined to 39.1 in 2015/16 from 45.0 in 2005/06. World Bank, 2023c.

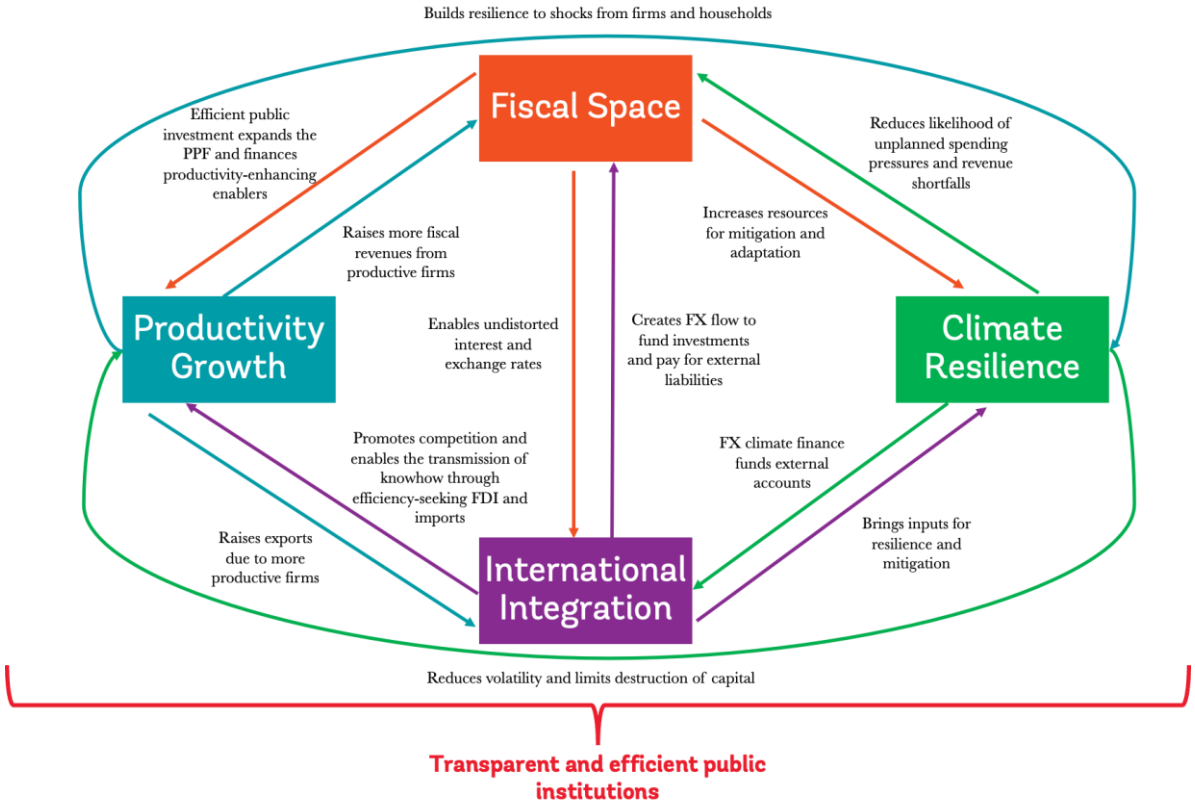
However, the Kenyan economy faces structural constraints that undermine its longer-term growth prospect and potential for promoting better jobs and prosperity. Despite progress, the public sector-driven and capital-intensive investment growth during yielded still suboptimal dividends to Kenya's citizens. Increasing public spending, rising fiscal deficits, and growing debt during the last decade exposed Kenya to macroeconomic volatility and risks, resulting now in debt overhang. Even without large-scale government borrowing, Kenya would be unable to sustain its historically large current account deficits considering weakening exports, low FDI, and the strong real exchange rate appreciation experienced during the last 20 years. Moreover, the fast reversal of poverty reduction trends by and after the COVID-19 pandemic, where poverty jumped by almost 10 percentage points, further questions the gains that economic growth brought to the country and its citizens.[6] Kenya has seen little productivity growth across most sectors of the economy and disappointing job trends, as the majority of new entrants to the labor market find low-productivity, part-time informal jobs in non-tradable sectors. And even if the economy has been growing, real wages were stagnant and, more recently, falling; they fell by 12.8 percent between 2019 and 2023, with a modest pickup in 2025. Finally, despite low carbon emissions, the country is facing increasing climate hazards that risk what has been achieved in terms of growth, poverty reduction, and improved wellbeing.

The GoK is making important reforms through its Bottom-up Economic Transformation Agenda 2022–2027 (BETA) to ignite inclusive economic growth. The BETA has five core thematic areas: (a) agricultural transformation and inclusive growth; (b) transforming the micro, small and medium enterprise (MSME) economy; (c) housing and settlements; (d) health care; and (e) the digital superhighway and creative economy. The government has also committed to expand infrastructure (including for water, roads, electricity, logistics, and e-mobility), strengthen manufacturing (by engaging with the pharmaceutical, leather, building products, and garment and textile industries) and the blue economy, expand the services sector (tourism, financial sector, and aviation), address climate change and environmental issues, provide social protection, bolster education, and improve governance through stronger devolution and accountability.

To support these efforts, address ongoing constraints, and reinvigorate the country's economic growth, Kenya must strengthen its macroeconomic policy framework and build fiscal space, increase international integration, raise productivity and accelerate economic transformation, and implement climate adaptation and resilience strategies that leverage green global trends. The following subsections dissect Kenya's growth and macroeconomic performance over the last two decades, identifying key drivers and sources of economic growth. It also discusses four interrelated challenges for sustained and inclusive growth in the medium term, and economic policy actions going forward.

[6] Poverty rates increased to 42 percent in 2020 and fell to 38.6 in 2021, remaining above the pre-pandemic level.

A policy framework to rebalancing and reinvigorating economic growth in Kenya



Source: World Bank Staff.
PPF = Productive Possibility Frontier

2. Setting the scene: Growth drivers during the last 20 years



The services and non-tradable sectors substantially expanded and contributed to economic growth, with little advancements in agriculture and manufacturing.

The services sector has been the main driver of Kenya's economic growth during the last two decades. It contributed over two-thirds of the total real GDP growth before and after the COVID-19 pandemic (Figure 2). The most pronounced contrast between the 2000s and 2010s decades is observed in the expanding contributions of business and financial services, and public administration.[7] In particular, the size of the ICT sector multiplied by almost 2.5 times during the 2010s, while business and financial services by almost 1.8 times. Both transport and wholesale retail grew by more than 60 percent during the same period. Public administration, from negligible contributions to real value-added growth during the 2000s, multiplied its size by almost 50 percent during the 2010s.[8]

While the construction sector grew at fast rates, tradable sectors outside services saw modest advances and decreasing participation in the economy. The construction sector grew at an average rate of 6.7 percent per year between 2001 and 2019, multiplying its size by over three times during this period. Its fastest expansion came during the 2010s decade in tandem with increasing services sectors' contributions. Meanwhile, agriculture and manufacturing, the more traditional tradable sectors, were among the sectors with the lowest average growth during the period studied. Although agriculture did see an acceleration during the 2010s, it is far behind the growth rates of most services subsectors, growing only by 2.6 percent per year between 2011 and 2019 despite representing over 20 percent of the economy. Simultaneously, manufacturing growth saw a slowdown, going from an average growth rate of 4.1 percent in the 2000s to 2.7 percent during the 2010s. Both sectors have seen decreasing shares in the economy over the last 20 years.

The government sector grew rapidly during the 2010s, while exports compressed.

As the services and non-tradable sectors expanded, private consumption greatly contributed to Kenya's growth along with increases in government consumption, at the expense of exports. Growth in services came with steady increases in private consumption, which expanded at rates above 4.5 percent per year between 2001–2019. Government consumption expenditure grew with the public administration and construction sectors, particularly during the 2010s. It expanded at an average rate of 6.5 percent per year between 2011–2019 and multiplied its size in the economy by two-thirds during the decade. Notably, real exports of goods and services expenditure alone contributed negatively to growth during the 2010s and went from growing at an average rate of 6.6 percent per year during the 2000s to -0.4 percent per year between 2011–2019, reflecting modest

[7] In the national accounts, these include finance and insurance, real estate, professional, scientific, and technical activities, and administrative and support service activities.
[8] See World Bank (2023a) for further disaggregation of GDP contributions to growth by subsectors.

advances in the abovementioned tradable sectors, agriculture and manufacturing. Investment grew alongside imports for most of the period studied (Figure 3).

Kenya's economic growth has been driven by the constant expansion of the services sector, at the same time the government sector expanded, and exports withdrew

*Figure 2. Contributions to real value-added growth**

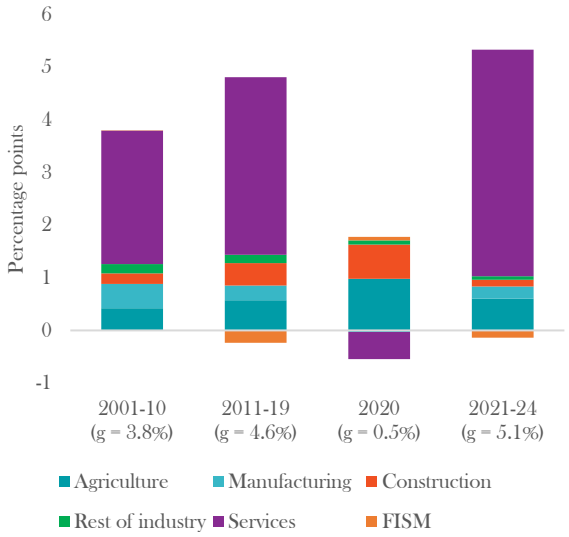
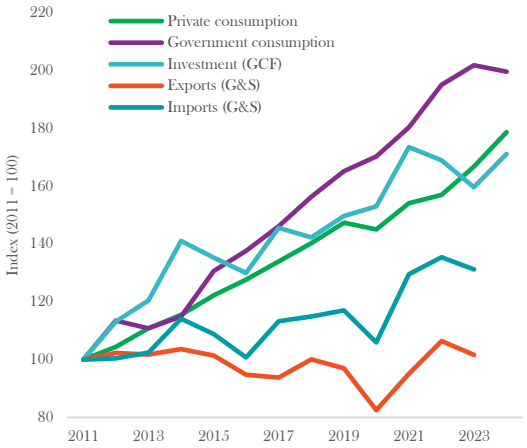


*Figure 3. Real GDP growth by expenditure category (2011=100)**



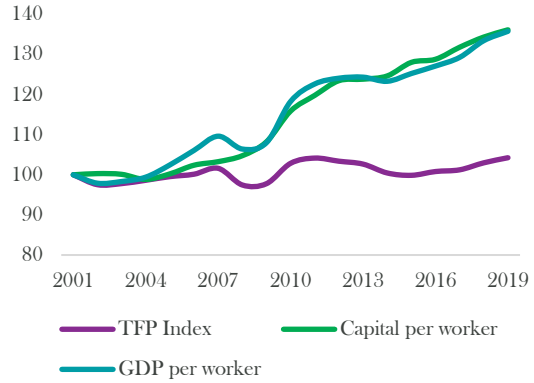
Source: Kenya National Bureau of Statistics, 2025.

**Note:* The growth decomposition is an approximation and individual growth rates may not add up to the total growth rate. Sectoral and expenditure growth rates are weighted by their average share in total value-added or GDP during the period. Exports and imports data is shown until 2023 and do not reflect revisions made in the Kenya Economic Survey of 2025.

From a growth accounting perspective, investment growth brought capital deepening to the economy, but with no total factor productivity advances. The construction and public administration boom drove capital accumulation and thus was a key contributor of economic growth. However, total factor productivity—which measures the efficiency in using both capital and labor—grew by 0.3 percent per year between 2001 and 2010 and *zero* between 2011 and 2019 (Figure 4). This accounts for much of the growth differential between Kenya and aspirational peers, such as Bangladesh, Ghana and India (Figure 5).

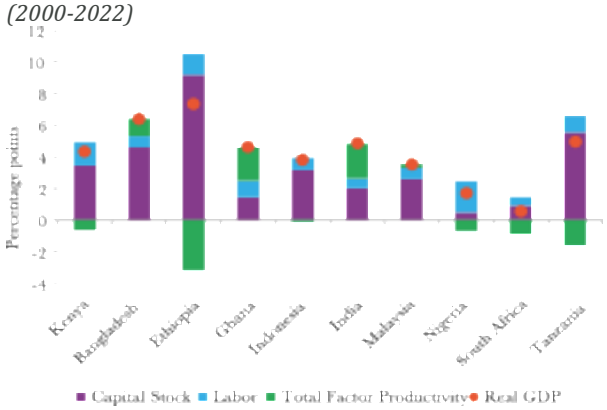
3. How was growth financed? A twin deficit story

Figure 4. TFP, capital per worker, and GDP per worker Index (2001=100), Kenya



Source: Penn World Tables, 10.01.

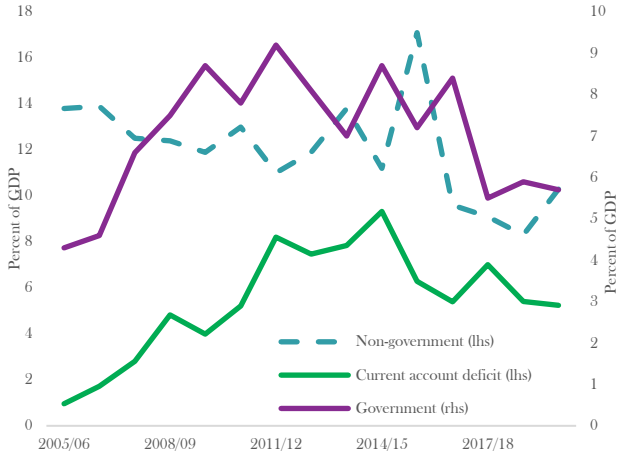
Figure 5. Contributions to potential GDP, Kenya and peers (2000-2022)



Source: World Bank, 2023a.

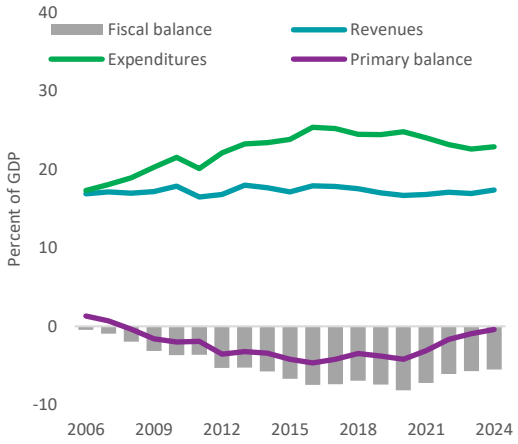
An ambitious infrastructure development agenda spurred growth in construction, public consumption, and investment, accelerating the accumulation of capital stock and creating demand for domestic services. Through high public investment and spending, the GoK aimed to lay the foundations for strong long-term economic growth, anchored in its Vision 2030. The country invested in new infrastructure projects, fueling investment spending and public consumption. In particular, as private investment continuously fell since the mid-2000s, public investment expanded; between 2005/06 and 2011/12, public investment more than doubled as a share of GDP, only falling since 2017/18 (Figure 6). In addition, Kenya introduced changes in its governance structure by introducing a devolved system of government that was enshrined in the 2010 constitution. The first county governments were thereafter elected to office in 2013 and given the mandate to promote social and economic development.

Figure 6. Government and Nongovernment Investment, and Current Account Deficit as a Percentage of Gross Domestic Product, FY2006/07–2019/20



Source: IMF, from Article 4s.
Note: The current account deficit is in calendar years, for example, 2005/06 = 2005.

Figure 7. Government fiscal accounts, 2006-2024



Source: IMF *World Economic Outlook.*

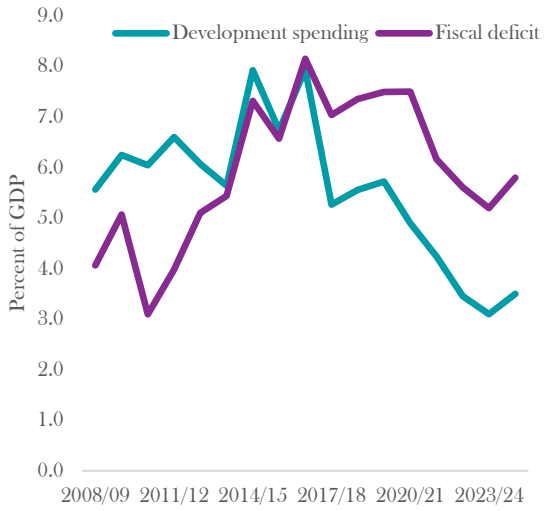
Large government-led investment programs, increased spending in the context of devolution, and limited revenue collection drove large increases in public debt.

However, the sharp increase in public investment in infrastructure, in addition to higher spending to enhance public service delivery at the subnational level, led to a growing gap between government expenditures and revenues. The fiscal deficit grew steadily throughout the 2010s, as overall expenditure drifted higher while revenue remained mostly constant as a share of GDP (Figure 7). The increase in expenditure was driven by large increases in debt-financed public investment, peaking at over seven percent of GDP in 2016/17 when the Mombasa-Nairobi Standard Gauge Railway project was completed (Figure 8). The implementation of the devolved system of government, with 47 county-level governments, also increased recurrent expenditures.

Kenya's public debt burden grew sharply as a result. The stock of debt increased to 73.2 percent by end-of-2023, from 35.7 percent of GDP in 2011. Spending on interest more than doubled as a share of government revenue over the past decade as well, being more expensive than the average country (Figure 9). The accumulation of debt also happened in the context of loose global financial conditions, where capital inflows were looking for higher yields in developing markets. As the government attempted an ambitious reform effort to reduce high fiscal deficits, it was met with public backlash in the context of the Finance Bill 2024.

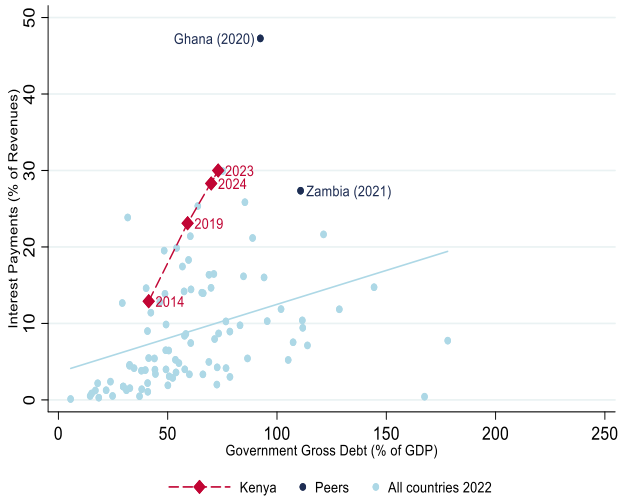
Expansionary fiscal policies to support public investment and devolution contributed to growing fiscal deficit and debt

Figure 8. Government investment and fiscal deficit, 2008/09-2024/25



Source: National Treasury.

Figure 9. Interest payments (% of revenues) and government gross debt (% of GDP), 2022



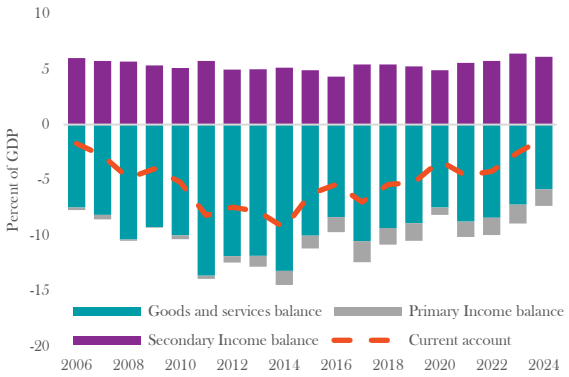
Source: World Bank *World Development Indicators* and IMF *World Economic Outlooks*.
Note: Global sample of 93 countries with available data for 2022.

External borrowing backed FX inflows as FDI and exports diminished.

At the same time, Kenya ran continuous current account deficits to support economic growth, with external borrowing providing major foreign exchange inflows. Since the early 2000s, Kenya's goods and services balance has been negative, peaking in 2014 at -13.2 percent of GDP (Figure 10). As with other growing economies, Kenya's increasing imports have been primarily composed of raw materials and capital goods to support private and public investments. In contrast, exports experienced little growth and became relatively more expensive as the real effective exchange rate appreciated (Figure 11). Interest expenses from public debt grew through the 2010s and by 2017, primary income balance debits reached 2.1 percent of GDP. At the same time, FDI and portfolio investments did little to support new foreign exchange inflows to the economy (Figure 12 and Figure 13). Although remittances are a key source of FX for Kenya, with secondary income credits amounting over 5 percent of GDP on average during the 2010s, official and private debt flows were still the main sources of financing of the current account.

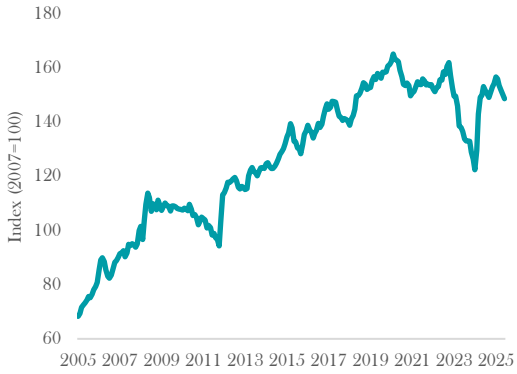
While exports grew little, imports grew as they become relatively cheaper through the last two decades

Figure 10. Current account, 2006–2024



Source: International Financial Statistics, IMF.
* Note: Revisions from IFS

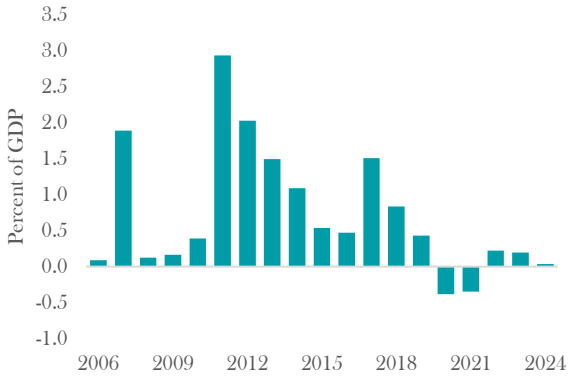
Figure 11. Real effective exchange rate index, Jan. 2005–Jun. 2025 (Dec. 2007 = 100)



Source: Bruegel.
Note: REER is based on 120 trading partners. An increase in the index indicates an appreciation of Kenya's currency compared with the basket of trading partners currencies.

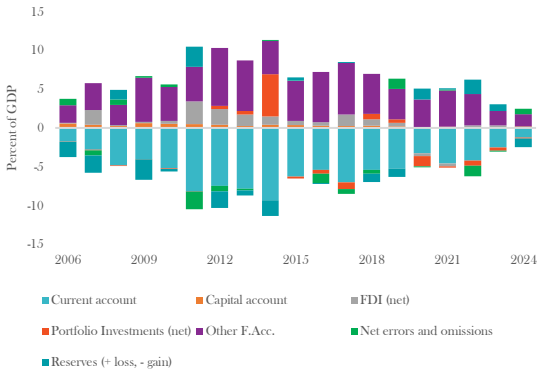
With little FDI and portfolio investments to support the current account deficit, other debt instrument investments were the main financing source of the balance of payments

Figure 12. Net Foreign Direct Investment, 2006-2024



Source: International Financial Statistics, IMF.

Figure 13. Balance of payments (percent of GDP), 2006-2024



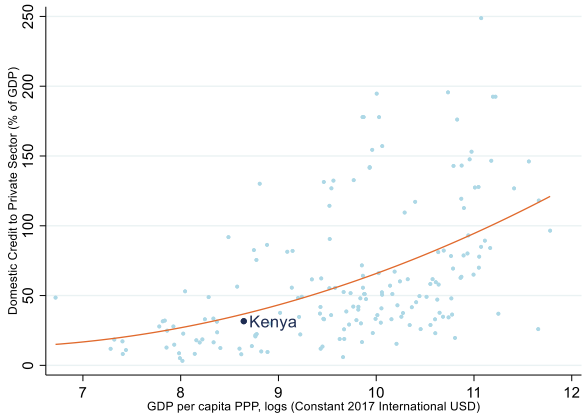
Source: International Financial Statistics, IMF.

On the domestic side, domestic credit to the private sector grew rapidly, but it has withdrawn relative to global distribution and the financial sector is now more exposed to the sovereign. Although adequate for its level of income and experiencing rapid growth as a percentage of GDP,[9] Kenya's credit to the private sector remains relatively small compared to aspirational, regional, and income-level averages (Figure 14). Moreover, the country is now farther from the global median than 20 years ago; while in 2001 Kenya's domestic credit to the private sector was on the 48th percentile of the global distribution, in 2023 it located in the 38th percentile (Figure 15). The fiscal expansion

[9] Domestic credit to the private sector grew from 25.2 percent of GDP in 2010 to 31.6 percent of GDP in 2023.

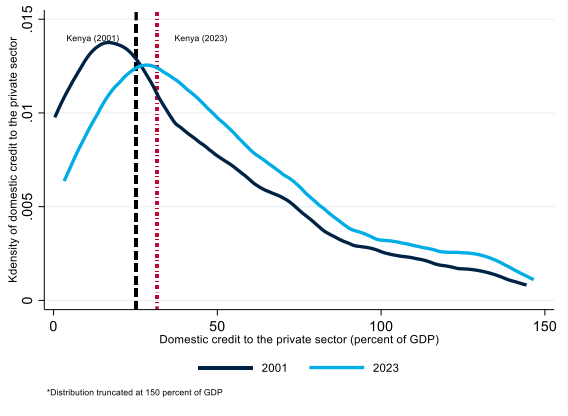
and the large public infrastructure projects also resulted in increased domestic borrowing from the sovereign, crowding out the private sector. The majority of outstanding government's domestic debt is held by domestic financial institutions; over 25 percent of bank's assets are in government securities, biggest after loans, and with a sizeable FX exposure (IMF, 2024).

Figure 14. Domestic credit to the private sector (percent of GDP), 2023



Source: WDI.

Figure 15. Domestic Credit to the private sector, Kernel distribution



Source: WDI.
*Sample of 104 countries.

In summary, the services and public sector driven growth was mainly financed by persistent fiscal and current account deficits. As a national account's identity, public and private investments must equal the sum of national savings (private and public) and foreign savings (capital inflows). Kenya's total investment consistently exceeded the amount of private domestic savings in the economy; thus, it drew in public and foreign savings to finance its growth in the form of wider current account deficits, which were backed by official and private debt external inflows. Several studies have confirmed the strong relationship between Kenya's fiscal and current account balances, which in the economic literature is called the twin deficit hypothesis (Mugo et al, 2021; Osoro et al, 2014). New long-term investment inflows can build a country's capacity to generate future foreign currency with which to meet new external liabilities. Nevertheless, if these do not translate into revenue generation and in a context where the real exchange rate continued to appreciate, constraints arise.

4. Unpacking the constraints and the way forward

Kenya's growth performance—driven largely by services and the public sector and financed by persistent fiscal and current account deficits— has generated an unbalanced growth path that is reducing the country's growth potential and development prospects. As described, the growth trajectory of the Kenyan economy was initially successful in reducing poverty and improve the well-being of the country's citizens. Nevertheless, the key drivers of growth that led to its trajectory and how it was led to key economic constraints that created an unbalanced growth path: (a) fiscal constraints, due to overreliance on the public sector to grow and expensive public borrowing, (b) external constraints, due low economic integration with the rest of the world, (c) productivity constraints, which are reflected in the absence of enough quality jobs for the working age population and the fast reversal of poverty reduction gains during the COVID-19 pandemic, and (d) climate constraints, due to increasing climate hazards. The following section evaluates these challenges in relation to the drivers and financing sources of growth and proposes key principles and policies going forward.

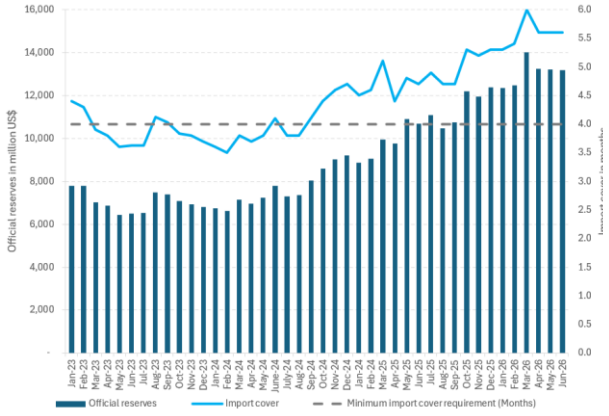
A. Fiscal constraints

Up to early 2024 and in a context of tighter international financial conditions and limited external inflows, Kenya experienced liquidity challenges and large external financing needs. These pressures became of particular importance when a US$2 billion Eurobond repayment was due by the GoK in June 2024. In February 2024 and benefitting from an improved macroeconomic outlook, multilateral support, and improve global market conditions, the Government issued US$1.5 billion Eurobond and bought back almost 75 percent of the one maturing in June 2024, but at a higher cost. This helped to ease market concerns, and the currency appreciated almost 20 percent in the weeks after this event. In early 2025, Kenya successfully issued again a US$1.5 billion Eurobond for liability management., with additional issuances in 2026. However, in the year before the 2024 repurchase, the currency had already lost its value by almost 30 percent, reflecting limited capital inflows and cautious investor's confidence.[10] Overall, Kenya's ability to access global financial markets was restrained. Rapid interest rate hikes in advanced economies and global monetary conditions led to a substantial increase in borrowing costs for Kenya. Given the limited diversified sources of foreign exchange inflow the country has, as explained in the previous subsection, there were questions on its ability to successfully make the June 2024 Eurobond repayment at a reasonable cost. The stock of foreign reserves had been continuously decreasing, only coming up above the statutory requirement of 4.0

[10] 12-month depreciation: February 1st, 2023, versus January 31, 2024.

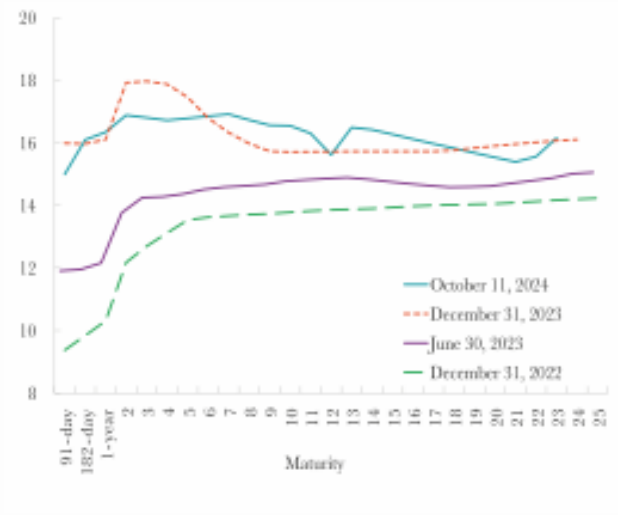
months of imports in June 2024 (Figure 16). Even after the repurchase, Kenya's sovereign credit ratings were downgraded, which heightened risks to public finances.[11]

Figure 16. Reserves and import coverage, Jan. 2022 – Jul. 2026 (end of month)



Source: Central Bank of Kenya.

Figure 17. Kenya Treasury Yield Curve (percent)



Source: IMF (October 2024).

Macroeconomic constraints evidence the risks of following a growth strategy based on running continuous fiscal deficits that didn't substantially expand the production possibility frontier.

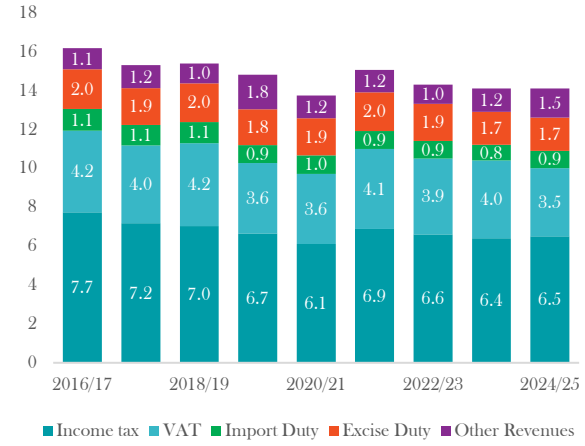
Increased spending, limited revenue mobilization, and rising public debt exposed the country to macroeconomic risks and reduced fiscal space for development priorities. Gross public debt reached 71.3 percent of GDP at end-2025, and the risk of debt distress has been rated as high since May 2020. Moreover, as interest rates rose, revenues underperformed, and external financing options were limited, domestic financing of the fiscal deficit became a major option for the sovereign. Overall, debt service cost reached 5.7 percent of GDP and above 1/3 of total revenues during FY2024/25, with domestic interest payments accounting for about 60 percent of total interest payments. Increasing interest payments squeezes the available fiscal space to fund development priorities. There are also significant fiscal risks due to the explicit and, especially, implicit, contingent liabilities from SOEs.[12]

Kenya's tax revenues have been underperforming reflecting multiple challenges to increase collection. Total tax revenues (w/o grants) reached 14.1percent of GDP in FY2024/25, significantly lower than the 15.5 percent average of the second half of last decade (2015/16-2019/20) (Figure 18). The decline in Kenya's tax revenues has been primarily driven by falling shares of income taxes. Overall, the responsiveness (elasticity) of tax revenues to GDP growth seems to be relatively low. Changes in Kenya's economy have increased the share of GDP hard-to-tax sectors—such as the informal sector - contributed to reducing the tax base, in addition to numerous tax exemptions. Given

[11] Following the withdrawal of the Finance Bill 2024, Moody's Ratings downgraded Kenya's sovereign credit ratings in July 2024, while Fitch Ratings and S&P Global did in August 2024. In August 2025, S&P S&P Global Ratings upgraded Kenya's long-term sovereign credit rating to 'B' from 'B-'.
[12] See: Kenya Public Expenditure Review 2020: Options for Fiscal Consolidation after the COVID-19 Crisis.

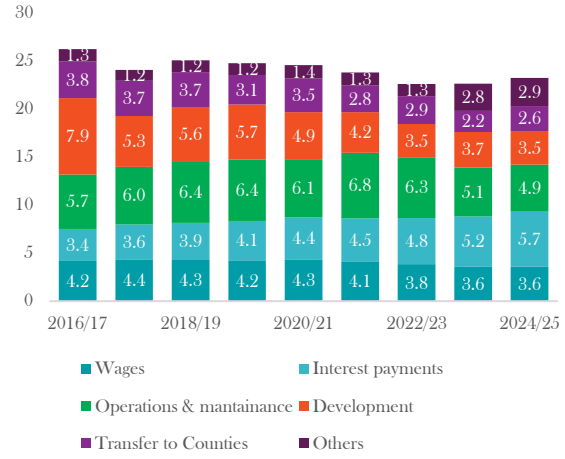
these realities, raising taxes would not yield much additional revenue owing to the country's economic structure. Kenya's tax revenue collection, however, remains below its potential, and thus there is space to increase collection through more efficient taxation. Moreover, the progressivity of the tax system needs to be enhanced. Fiscal incidence analysis results indicate that only the lowest decile of the income distribution benefits from Kenya's fiscal system in cash terms, and thus most of the population are net cash contributors (World Bank, 2025).

Figure 18. Ordinary Revenues (percent of GDP), 2016/17 – 2024/25



Source: National Treasury of Kenya.

Figure 19. Government Expenditures (percent of GDP), 2015/16 – 2023/24



Source: National Treasury of Kenya.

Despite progress, excessive expenditure, weak control systems, and corruption persist in Kenya's public finances as rigidities in the budget increased. More recently and as part of its fiscal consolidation plans, the GoK has been implementing reforms to address fiscal pressures. For example, development expenditure - which includes mainly spending on infrastructure projects - reduced from a high of 7.9 percent of GDP in FY2016/17 to 3.5 percent in FY2024/25 (Figure 19). However, important challenges remain on the expenditure and public financial management side of Kenya's government finances. Rigid expenditures have risen sharply, especially interest payments and constitutionally mandated transfers to county governments, which together have increased in size—from 10 percent to 34 percent of total expenditure, or from 13 percent to 53 percent of domestic revenue, between 2010/11 and 2023/24 (figure 3.3). Moreover, Kenya's public procurement constitutes a high percentage of public expenditures and GDP, amplifying the expenditure wastage that occurs due to slow, inefficient, or non-transparent procurement systems and practices at various levels of government. The public sector wage bill, including allowances, is subject to complex rules and regulations at the central government and county levels, leading to repeated breach of payroll ceiling. Corruption remains a key challenge, and the Kenyan government acknowledges that tackling corruption is a top priority. These challenges manifest in inflated costs of goods and services and low quality of government-funded projects, all of which contribute to significant losses (World Bank, 2024a ; World Bank, 2025).

Moreover, the accumulation of pending bills had effectively shifted a portion of public expenditure to "below the line," amounting to indirect borrowing from the private sector. Total pending bills rose from 448 billion Kenyan shillings in 2019/20 to 698 billion Kenyan shillings

in 2023/24, marking an increase of approximately 56 percent. The pending bills were primarily concentrated in SOEs (63 percent), followed by county governments (24 percent) and ministries, departments, and agencies (MDAs) of government (13 percent). Paying off these pending bills within one year would have raised Kenya's fiscal deficit to more than 9 percent of GDP, significantly above the fiscal outturn. These unpaid obligations reduce liquidity in the private sector, delay payments to suppliers and contractors, and create uncertainty, particularly for small and medium enterprises (SMEs), which are more vulnerable to cash flow disruptions. Government established a Pending bills verification committee and paid off verified bills. As such, outstanding pending bills decreased from KSh 525.9 billion (3.1 percent of GDP) in June 2025 to KSh 471.7 billion (2.5 percent of GDP) by the end of Q3 FY2025/26. Clearing outstanding pending bills is critical for restoring fiscal discipline, enhancing public spending efficiency, and supporting private sector growth.

An important motive for the increased expenditure in recent years has been the devolution process; overall, it has improved service delivery, but challenges remain. Devolution has institutionalized increased autonomy in decision-making at the county level, enabling more targeted responses to local development priorities. Between 2013 and 2022, there have been improvements in service delivery especially in health such as increased immunization coverage (77 percent to 80 percent), skilled birth attendance (48 percent to 89 percent), and a reduction in child stunting (35 percent to 18 percent), and in basic infrastructure such as access to drinking water (53.3 percent to 65 percent). However, these outcomes may also reflect the influence of other factors beyond devolution. Persistent challenges continue to undermine the full potential of devolution, including gaps in service delivery and regional disparities, fragmented policies and overlapping regulations, governance and corruption challenges, weak revenue mobilization and financial management, and limited institutional capacity.

Importantly, the fiscal expansion has also tolled the competitiveness of the private sector. The influx of foreign currency via government debt supported increases in public sector consumption; this flow highly correlated with the observed real appreciation of the Kenyan shilling (Figure 20). The effect of this is that foreign goods became cheaper relative to domestic goods, and thus the competitiveness of the domestic private tradable sector is harmed. As public domestic borrowing increased, the availability of funds to the private sector became relatively scarcer, pushing up interest rates and crowding out private sector credit (Figure 21).

Increases in government consumption came with real exchange rate appreciation and increased interest rates, which seem to have further tolled private sector's competitiveness

Figure 20. Real government consumption and Real Effective Exchange Rate Index (2007 = 100)

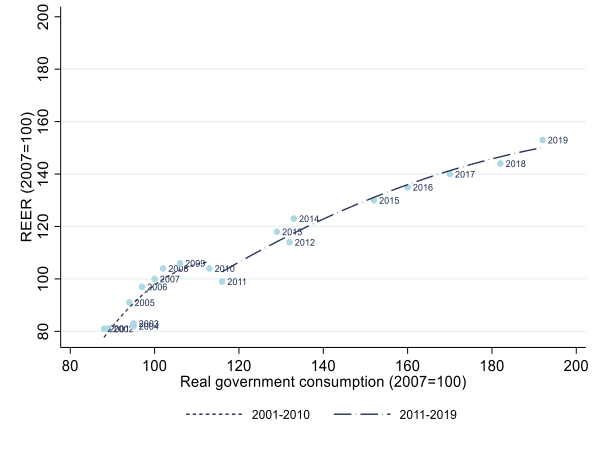
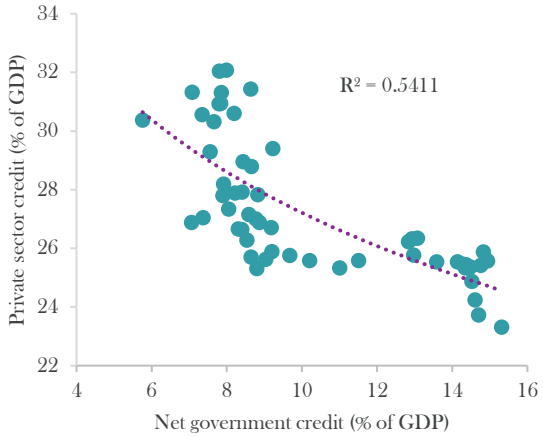


Figure 21. Private and Government Credit (% of Gross Domestic Product), 2010 (Q1) to 2023 (Q4)



Sources: Bruegel and Kenya National Bureau of Statistics.

- **Key principles to address fiscal constraints.**

Addressing fiscal constraints starts with having strong and predictable macroeconomic policies. Fiscal slippage has been a constant in Kenya's public finance for several years, reducing the effectiveness of fiscal policy (World Bank, 2025). Careful management of fiscal balances contributes to continued macroeconomic stability and prevents crowding out of private sector lending. Sound fiscal policies support public investment in improving infrastructure and public services allowing more business and households access electricity, roads, schools, and hospitals. Reducing debt vulnerabilities, boosting domestic revenues, and improving the efficiency, transparency, and accountability of public spending will be key, both in the short and long term.

The Kenya 2025 Public Finance Review recommends revenue and expenditures policies focused on enhancing the efficiency and equity of the fiscal system. In certain cases, there are opportunities to raise the productivity and equity of taxes and the efficiency of spending. In other instances, the challenges are more complex and may be better addressed by integrating tax and expenditure measures with structural reforms. These include structural reforms aimed at expanding the size of the economy to reduce the number of individuals adversely affected. Such measures can make the reforms more progressive and socially acceptable. The recommendations of this PFR focus on measures that (1) strengthen fiscal sustainability; (2) enhance equity; and (3) remove distortions, reviving economic growth, raising productivity, and increasing real wages—a measure of jobs quality.

The Kenyan government acknowledges that tackling corruption is a top priority; anti-corruption and complementary governance measures for better public service provision should be a priority. In 2025, the Kenyan government approved an updated anti-corruption guiding framework for the justice sector, and the Conflict-of-Interest Act. The key issue is now

implementation. Currently, about one-fifth of Kenyan citizens consider corruption one of the top three most important problems facing the country (Afrobarometer 2024). Policy makers estimate that by halving corruption alone, Kenya could service its foreign debt. Bundling anti-corruption interventions that reduce the leakage of public funds and restore trust in government with impactful service delivery. The implementation of electronic government procurement (e-GP), the Treasury Single Account, a strengthened public–private partnership (PPP) framework, and the reduction of layers of funds across government. A range of additional measures should complement these; jointly, these measures can promote growth and jobs while lowering the fiscal deficit.

B. External constraints

Even in the absence of large-scale government borrowing, Kenya would be unable to sustain its historically large current account deficits considering weakening exports and low FDI.

Both exports and FDI had limited contributions to economic growth and FX inflows; Kenya's integration to the rest of the world seems limited. Exports as a share of GDP have been in a declining trend, and by 2024 they were lower than for many peer countries and income level averages (Figure 22). This is partly because of the strong domestic absorption growth experienced in the Kenyan economy, but also due to sluggish export performance.[13] FDI inflows are also underperforming, with average low shares of FDI and which seem to be recovering at a much slower pace than peer countries (Figure 23). Although Kenya's current account deficits have recent narrowed, boosting exports and improving external financing remains a priority.

Kenya seems to have limited global integration in terms of exports and FDI

Figure 22. Exports (percent of GDP) and GDP per capita (PPP), 2024

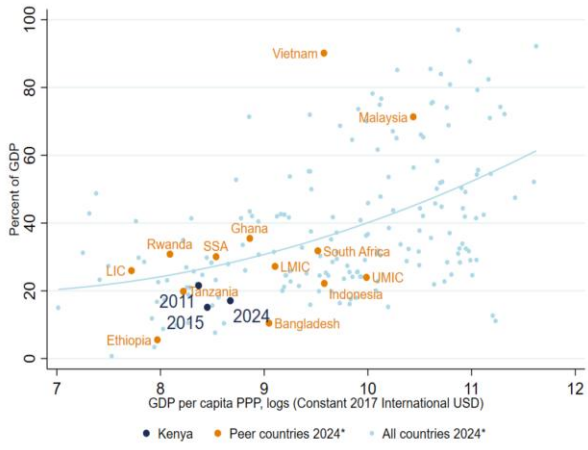
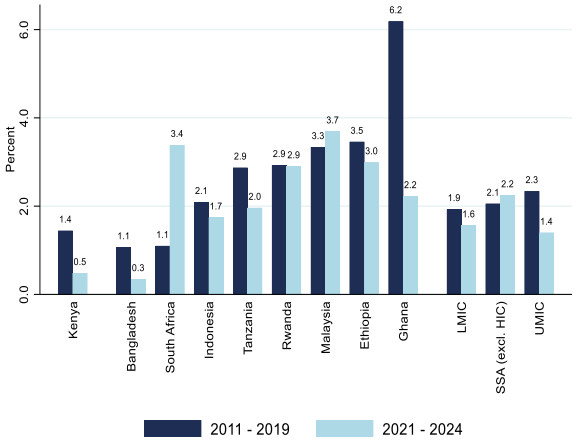


Figure 23. FDI inflows (averages 2011-2019 and 2021-2023), percent of GDP



Sources: WDI.
*Note: Countries with below 100 percent of exports to GDP ratio.

[13] Section 2 illustrated the fall of real exports expenditures between 2011 and 2019, while IMF IFS Balance of Payments statistics show that the export value in 2019 was similar to the one in 2011 in current US$ (US$5,870 million in 2019 vs. US$5,834 million in 2011).

Overall, the economy diversified little and its level of export sophistication has not increased during the growth period. Agriculture is the largest contributor to Kenya's exports (59 percent) followed by minerals (9.4) and textiles (9). Kenya is a well-diversified economy with a high number of competitively exported products across different industries. However, for its level of economic diversification, its exports are not particularly unique,[14] and it has introduced few new products that add additional value.[15] The fact that Kenya's main export products are produced by many other countries reduces firms' profit margins, making it harder for them to compete. For example, Kenya has steadily lost market share in the European Union (EU)—its main market for agricultural exports (Figure 24). Moreover, exports to the EU rely on the same products (flowers, coffee, tea, avocados, green beans) than two decades ago (Figure 25). The degree of sophistication of country's goods exports has consequently changed little during the last 10 years. As a consequence, Kenya has not improved in the economic complexity index (ECI) ranking during this period, currently ranked 87 out of 145 countries (Figure 26).[16]

Figure 24. Share of EU agricultural imports, 2002-2021

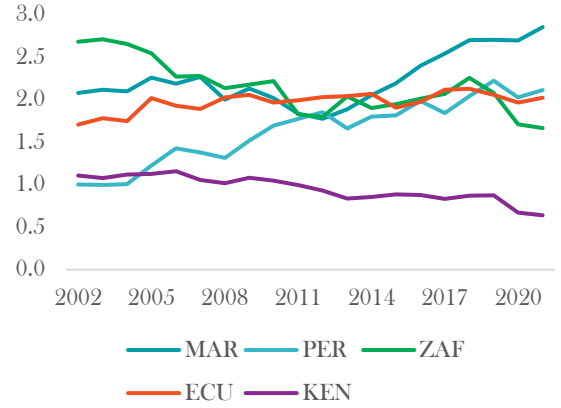
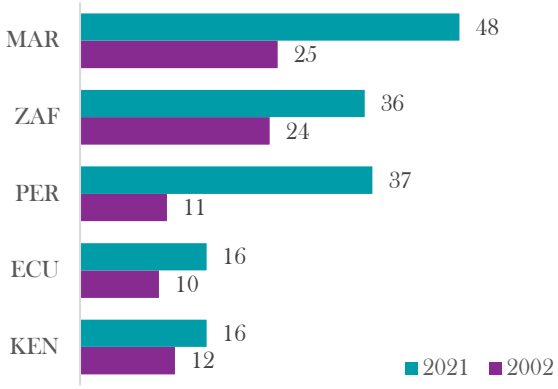


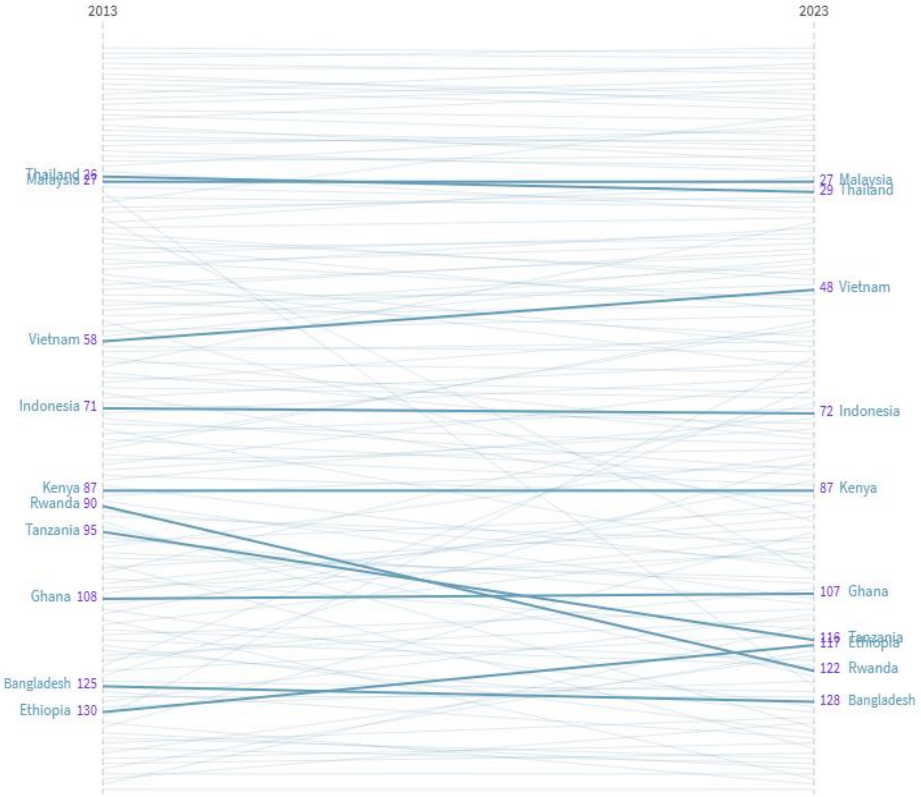
Figure 25. Number of agricultural products over US$ 10 million exported to the EU



Source: World Bank 2023d.

[14] This means that Kenya's exports are relatively ubiquitous and are exported by many other countries, which is a component of the degree of sophistication (economic complexity) of its exports.
[15] Kenya ranks 35th out of 133 countries in terms of the diversity of its exports. The country has added 16 products to its export basket, lower than neighboring countries like Uganda (32), Tanzania (23), and Ethiopia (22) (Harvard University, 2023).
[16] The economic complexity index is measure of the diversification and sophistication of a country's export basket, approximating the degree of productive knowhow an economy has. The ECI is strongly associated with GDP per capita.[16] Kenya's export basket is primarily composed of low complexity products (Figure 26), and it has not expanded much its level of diversification and sophistication through the years.

Figure 26. Economic complexity index rankings, 2013 and 2023



Source: Atlas of Economic Complexity, Harvard University.

The lack of export dynamism at the aggregate level is mirrored by trends at the firm level. Although the number of exporters increased to 6,824 in 2020 from 4,451 in 2012, the average number of products and destinations reached by exporters has consistently declined over time. The average number of products exported per firm has declined to just under five in 2020 from seven in 2012. This indicates firms are becoming less diversified. Similarly, the number of countries reached by the average exporter has declined to 2.2 in 2020 from 2.8 in 2012. This is fewer than for Malawi, Senegal, and Tanzania, where firms export to an average of at least four countries. Each exporter earns an average of US$ 0.9 million, which is slightly below the average earnings per exporter in Uganda and Tanzania (World Bank, 2023d).

High trade costs and the real exchange rate appreciation help to explain limited exports and FDI.

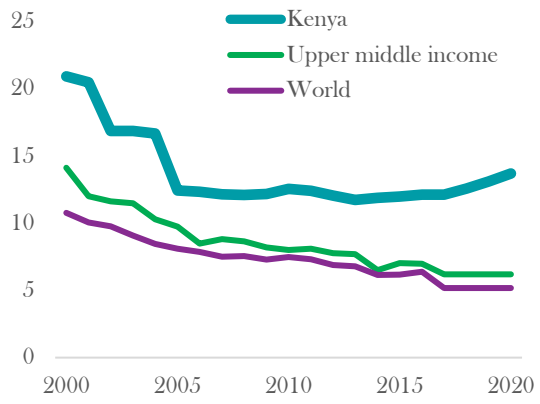
A key reason for ongoing external constraints and the low international integration trends is the high trade costs faced in Kenya. Trade costs with main partners are equivalent to a 100-200 percent tariff and, hence, they double or triple the costs of internationally traded goods over domestic goods.[17] As a result, the average tariff in Kenya - around 13.5 percent in 2022 - is significantly higher

[17] Trade costs capture the cost faced by countries when trading goods across borders, in excess of the costs that the same goods face when traded domestically. Implicitly, trade costs cover the full range of costs associated with trading, including transportation and distribution costs, tariffs and nontariff barriers, costs of information and contract enforcement, legal and regulatory costs, as well as the costs of doing business across cultures, languages, and economic systems (Source: World Bank, 2023d).

than for other upper-middle income countries and the world, higher than countries that have successfully integrated to the world economy like Vietnam (5.6 percent) or Thailand (8 percent), and higher than regional benchmarks like South Africa (7.1 percent) (Figure 27). High trade costs raise the price of exports and imports, hinder competitiveness, and erode consumer welfare by reducing the availability of goods for consumption. The decline in the share of exports to GDP is consistent with an economy experiencing low productivity growth in the tradable sector and high trade costs, like Kenya. High trade costs prevent domestic industries from competition and from increasing productivity, which would make them better equipped to competing abroad and increase their market shares.

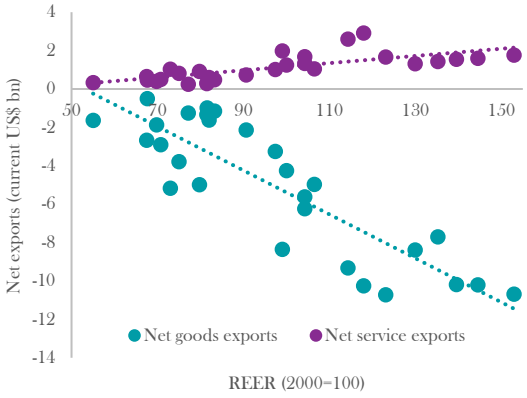
Additionally, the continuous real exchange rate appreciation seems to also have deteriorated the goods trade balance, creating an increasing gap in favor of services. As government consumption rose and the real effective exchange rate appreciated, the trade balance of goods deteriorated significantly; the trade deficit multiplied by almost 10 times from 2000 to 2019, from US$ 1.2 billion to US$ 10.7 billion (Figure 28). The country's growth performance did create additional exports on services as productivity of skilled-intensive services is high, and thus the services net trade balance rose. However, the appreciation favored a sector which has still limited capacity to generate enough FX inflows to pay for external borrowing or generate quality jobs for most of the Kenyan workforce.

Figure 27. Applied tariffs: Kenya vs. World



Source: World Bank 2023d, from WDI.

*Figure 28. Net exports of goods and services and REER (2007=100)**



Source: WDI and Bruegel.
* Note: data for 1992–2019

Moreover, the share of services which are exported is declining. Only 12 percent of services value-added is exported, less than half that of manufacturing value-added exports, of which 26 percent of the total is exported. There has been a declining trend of services value-added exports as a share of total value-added over time. Kenya's share of services in value-added is lower than all its regional, structural, and aspirational peers, with the exception of Bangladesh and South Africa (World Bank, 2023a).

The role of services in FDI has grown over time, although it is increasingly biased toward high-skill sub-sectors. Analysis from the Kenya Country Economic Memorandum (World Bank, 2023a) using greenfield FDI announcements shows that Kenya has seen a significant increase in services FDI,

rising from 30 percent in 2003–2007 to 52 percent in 2018–2022 (total greenfield FDI announcements). Total inward greenfield FDI announcements increased almost sixfold during the same period (from US$1.8 billion to US$10.5 billion). Most of this is driven by investment in global innovator services, which made up almost threequarters of all services FDI in 2008–2012 and 2018–2022. Low-skilled tradable services were initially more than half of FDI in the early part of the period under assessment (2003–2007), but this has since dropped significantly, and more recently constituted less than 20 percent of services FDI in 2018–2022.

- **Key principles to address external constraints.**

Trade integration and trade facilitation initiatives are key to tackle Kenya's external constraints.[18] These should be viewed as an opportunity to reduce trade costs and improve the competitiveness of the Kenyan economy. By reducing tariffs, eliminating non-tariff measures, and promoting trade facilitation measures, these initiatives can promote increased foreign competition and create a competitive business environment that can boost productivity, investment, and innovation. Important factors that increase trade costs and limit Kenya's trade potential can be broadly categorized into four groups: (i) high tariffs that create anti-export bias and reduce access to imported inputs; (ii) non-tariff measures that are pervasive and specially affect regional trade; (iii) limited reach of trade facilitation measures; (iv) deficiencies in sanitary and phytosanitary systems that limit opportunities to increase and diversify agricultural exports.

Regional integration initiatives and bilateral trade agreements can also provide new opportunities for boosting trade. The Africa Continental Free Trade Agreement (AfCFTA) can be expected to increase economic growth and job creation. Implementing AfCFTA can have large impacts on the trade of goods and services, particularly in manufacturing. For example, one specific area that deserves attention is updating the regulatory framework for digital trade given the importance of digital sectors. This also includes reducing substantial regulatory barriers to cross-border data flows.

Attracting more foreign direct investment (FDI) could require reforms to improve the investment climate. More could be done to facilitate inflows of FDI. For example, there are continued restrictions to FDI in key sectors such as business services and financial services. FDI is further restricted by the complex entry and licensing procedures and different procedures that are in place across counties. Reducing the regulatory burden as well as simplifying the administrative procedures—including by digitizing and strengthening the one-stop-shop (OSS) for foreign investors—can help contribute to increased FDI. The services sector has been especially prominent in the attraction of FDI, between 2018 and 2022, services sectors have outperformed industrial sectors in attracting greenfield FDI. From an inclusion perspective, it is important to establish linkages between FDI firms and the domestic economy to ensure the benefits of FDI are shared widely.

Importantly, increasing international integration will help to prevent external liquidity challenges, improve its external debt sustainability, and generate better jobs. Kenya urgently needs to generate new sources of FX inflows to finance its growth agenda, and an export and private

[18] Based on: World Bank (2023d). Using trade integration to reduce trade costs and increase competitiveness of Kenyan exports. Kenya Trade Integration.

investment-led strategy are at the center of this. The country needs to add more value to its exports and become more competitive, at the same time it needs to attract more foreign direct investment. This is expected not only to reduce the country's macroeconomic risk but also the transfer of knowhow would spur business and job creation, pushing productivity and growth.



C. Productivity constraints

The pace of poverty reduction slowed during the second half of the 2010s, with most of the gains reverted by the COVID-19 pandemic. The annual reduction of the poverty rate started to decrease by 2015 and stood at -0.6 percentage points per year on average between 2015 and 2019, versus -1.1 percentage points per year between 2005 and 2015 (World Bank, 2023c). Median consumption growth also came down to 1.7 percent per year. Surprisingly, this slowdown in poverty reduction coincided with an even higher average GDP per capita growth of 2.5 percent. Thus, the response of poverty to economic growth fell (Figure 29). By the end of 2020, the first year after the COVID-19 pandemic begun, the poverty rate rose by 9.3 percentage points to 42.9 percent, reversing over 70 percent of the gains in poverty reduction since 2005. Household consumption fell both within rural and urban areas, and although poverty is concentrated in rural areas, the poverty rate in urban areas increased by 15.7 percentage points to 41.7 percent. The poverty headcount ratio partially recovered to 38.6 percent in 2021. Currently, there are now more than twice as many urban poor than in 2005/06.[19]

Figure 29: Growth elasticity of poverty reduction, 2005/06–2019

	2005/06	2015/16	2019
(a) Absolute poverty rate (%)	46.6	36.1	33.6
Percentage change in poverty		*-22.5*	*-6.9*
(b) GDP per capita (2017 PPP)	3,327	4,075	4,459
Percentage change in GDP per capita (b)		*22.4*	*9.4*
Growth elasticity of poverty (a / b)			
2005/06–2015/16		-1	
2015/16–2019		-0.73	

Source: World Bank, 2023c.

The public sector and services-driven growth initially brought poverty reduction and increased incomes, but few low-skilled workers (the majority of Kenya's workforce) are finding good jobs.

[19] The number of poor in rural areas reached 13.7 million in 2021, falling from 14.1 million in 2005/06. In urban areas, the number of poor increased from 2.4 million in 2005/06 to 5.4 million in 2021.

Behind the weakening relationship between economic growth and poverty reduction is the limited amount of quality jobs that growth delivered and their low levels of productivity.[20] On average, 800,000 people join the labor market every year in Kenya. Growing numbers of young workers are joining the labor force, and while still most Kenyans live in rural areas, urbanization rates have increased (World Bank 2023e). Labor force participation rose by 10 percentage points between 2006 and 2016, with unemployment decreasing to 3 percent from 10 percent. But most new entrants are finding low-productive, informal jobs, with new formal jobs amounting to less than 100,000 annually (Figure 30). Since 2016, discouragement has been increasing among workers as labor force participation rates decrease at the same time underemployment rises. This means that workers are not finding enough good jobs, an issue that is becoming more acute among poor and less educated workers. Labor productivity is low and lagging; between 2001 and 2019, it grew by 1.3 percent per year, well below other structural and aspirational peers (Figure 31). As explained before, total factor productivity (TFP) grew close to zero and thus had limited contributions to growth, with capital deepening being the major contributor to labor productivity growth in line with the government spending and construction boom.[21] And although it's close to its predicted levels of GDP per capita, its lags behind peer countries.[22]

Productive heterogeneity is big in Kenya; most new jobs were created in low productivity and non-tradable sectors where and low wages are the norm. ILO estimates suggest that total employment grew at an average rate of 2.7 percent per year between 2011 and 2019 and continued to expand after the global pandemic. During this time, over half of all new jobs were created in agriculture, commerce and hospitality, and other services, including in the informal sector.[23] These are sectors with the lowest levels of productivity (Figure 32 and Figure 33).[24] And although labor productivity did expand in those sectors, it did little to significantly close the gaps with high productivity sectors and the rest of the economy. Informality is widespread across low-productivity sectors, with agriculture and trade (part of commerce) accounting for the highest informality and lowest wage employment shares across all sectors in 2019 (World Bank, 2023e).[25] High productivity sectors did expand in jobs, although from a lower base as they saw stagnant or decreasing levels of labor productivity.

[20] The 2023 Kenya Poverty Assessments lists a combination of factors behind the weakening relationship between economic growth and poverty reduction in addition to low productivity jobs, which include: i) the poor benefit less from the level, composition, and distribution of growth, ii) high levels of economic vulnerability, iii) inequality of outcomes and opportunities, iv) limited role of fiscal policy in poverty and inequality reduction.

[21] Labor productivity is a broader measure of productivity that captures the value output per worker or per worker hours, including other non-labor inputs such as human and physical capital (capital deepening) and TFP. TFP is the residual output after accounting for all other contributing factors to growth and captures the efficiency of combining these inputs in the productive process (technical change).

[22] Capital per worker in Kenya grew at 1.7 percent per year between 2001 and 2019, behind South Africa (1.8 percent), Malaysia (2.0), Indonesia (4.0), Tanzania (5.3), Bangladesh (6.7), Ethiopia (8.1), and Rwanda (8.4).

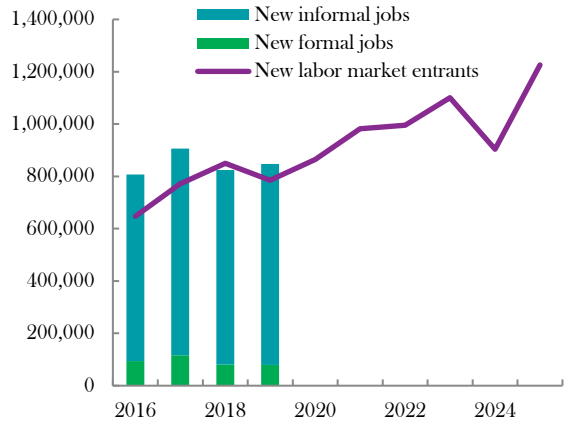
[23] Other services include mostly low-skilled services, such as personal services and household services.

[24] ILO-modelled estimates (November 2022) are used in this section to describe employment dynamics and to calculate yearly productivity trends at the sectoral level. Although the number of jobs and sectoral shares differs from KIHBS 2005/06, KIHBS 2015/16, and KCHS 2019, used in the Kenya Jobs Diagnostics (World Bank, 2023e), the trends follow a similar path and thus conclusions are similar.

[25] Less than 2 percent of agriculture workers are wage employed, and only 4 percent in trade.

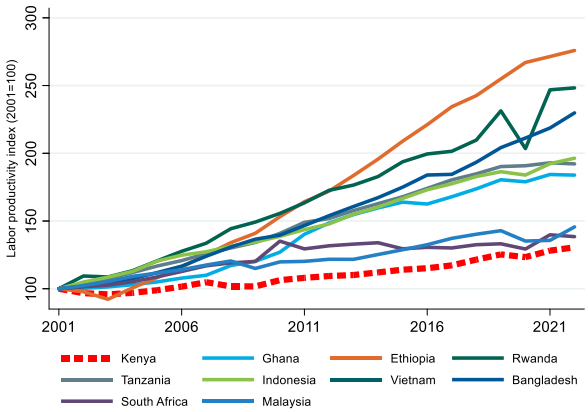
Labor-intensive tradable sectors, such as in agriculture and manufacturing, saw little growth; the majority of new jobs in Kenya were created in the informal sector

Figure 30. New jobs and expected labor market entrants, 2016-2025



Sources: World Bank Kenya Jobs Diagnostic (forthcoming)
Notes: 2020-21: estimates; 2021–25: projections.

Figure 31. GDP per worker index (2001–2022), Kenya and peers

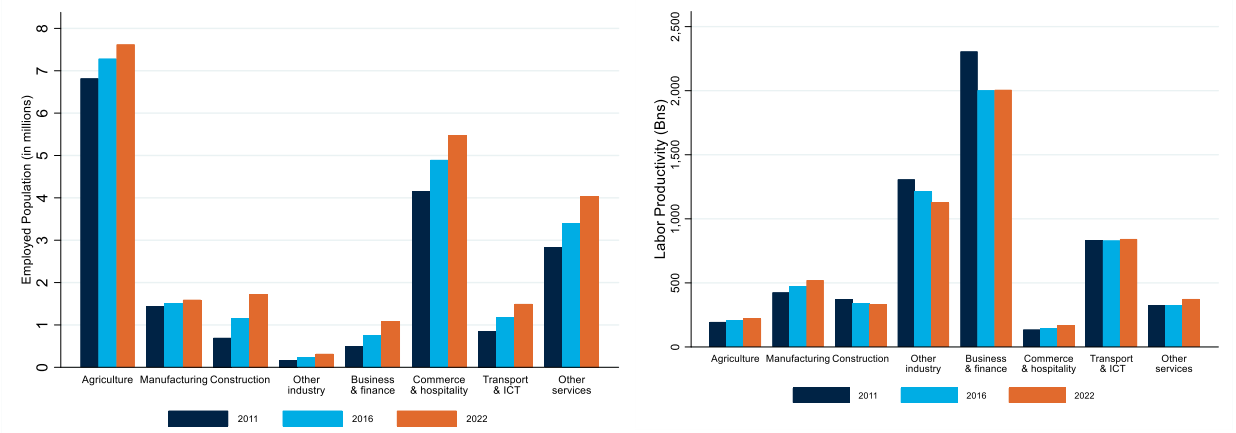


Source: International Labour Organization (estimates, Nov. 2023; https://ilostat.ilo.org/data/) and World Bank *World Development Indicators*, World Bank staff calculations.
Note: Labor productivity is calculated by dividing constant (2015) GDP by total number of workers.

And whereas, over the years, employment grew across sectors, most of them were created in the low productivity ones

Figure 32. Employment, millions (2011-2022)

Figure 33. Value-added per worker by sector, real local currency units (bns) (2011-2022)



Sources: World Bank staff calculations based on ILO Modelled Projections (Nov. 2023; https://ilostat.ilo.org/data/) and KNSO.

The movement of workers across sectors contributed to economic growth but gains *within* sectors were small. Employment diversified away from agriculture to industry and services, in a process known as structural change.[26] In industry, the share of manufacturing workers shrank while it multiplied by over three times in construction. In services, the business and finance, and the transport and ICT sectors saw the largest increases, although from a lower base. The biggest employers in services, commerce and hospitality, and other services, saw mild increases (Figure 34).

[26] See: Herrendorf et al (2013). Growth and Structural Transformation. NBER Working Paper Series, WP 18996.

Overall, structural change positively contributed to labor productivity growth, with services inter-sectoral reallocations contributing around 85 percent the total between 2011 and 2019 (Figure 35). This is a common feature in low-income countries, where the reallocation component explains the majority of labor productivity growth. However, within sector gains were small for Kenya, following a different trend than middle-income countries. This suggests that firms and industries are not becoming much more efficient internally due to limited technological upgrading, weak innovation, poor management practices, or barriers to firm-level efficiency improvements (Merotto et al, 2018).[27]

The movement of workers from agriculture to the rest of the economy contributed to labor productivity growth

Figure 34. Employment shares by major sector (2001-2022)

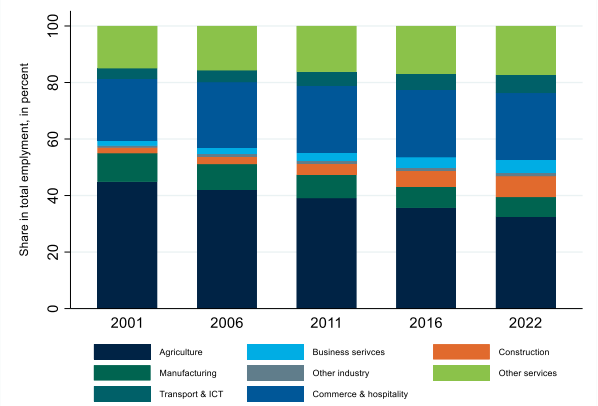
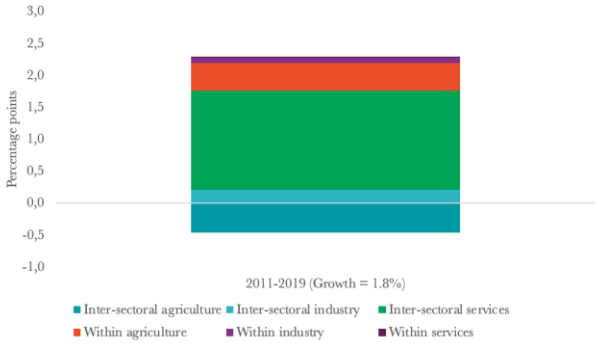


Figure 35. Value-added per worker growth decomposition, in percentage points (2011-2019)

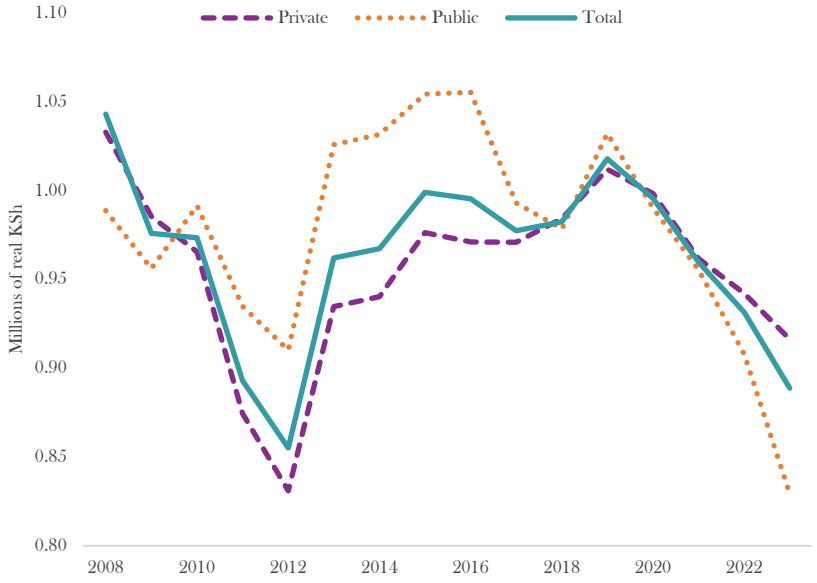


Sources: Own calculations based on ILO Modelled Projections (Nov. 2023; https://ilostat.ilo.org/data/) and KNSO. *Note: For further details on the methodology to decompose value-added per worker, please see McMillan and Rodrik (2011) and de Vries, Timmer, and de Vries (2015).

Overall, the above-mentioned fiscal and external constraints also shaped the evolution of productivity at the worker, sector, and firms' level; profits and wages seem to be declining over time. Real wages declined by 12.8 percent between 2019 and 2023 and only grew by 2.1 percent in total between 2010 and 2019 (Figure 36), with a small uptick in 2025. During this period, wage growth in the public sector was significantly higher than in the private sector. Relative, drawing in higher-skilled workers which could, otherwise, be available to work in the private sector. Mincer regressions confirm high wage premiums to education in Kenya, which reached up to 167 percent for workers with tertiary education and which might point to a relative scarcity for the skills they possess (World Bank, 2023e). Moreover, the continuous pre-COVID real appreciation may have distorted local labor markets. The relative loss of competitiveness in tradable sectors also seemed to have biased the economy towards more new jobs created in non-tradable services and construction, which could have misallocated labor and capital given their relative success; as a consequence, businesses' profits have come under pressure, and several international businesses have exited the country citing an unfavorable business environment.

[27] Labor productivity gains within sectors are explained by capital accumulation, technological change, or a reduction in resource misallocation (of capital or labor) (McMillan and Rodrik, 2011).

Figure 36. Real Annual Wages in the Formal Sector in Kenya (2023 Kenyan shillings)



Source: Kenya Economic Survey, 2005-2023. Kenya National Bureau of Statistics.

High-skilled workers find jobs in skill-intensive services and the public sector, with higher productivity but with limited labor absorption potential in relation to the tradable sectors of the economy.

Lower skilled workers, particularly the less vulnerable, are benefiting less from economic growth, creating a growing gap in the economy and making it less inclusive. In Kenya, the quality of employment is partly determined by the skill level needed for a job. Initially, structural change was successful in the reallocation of lower-skilled individuals from very low productivity agriculture to slightly higher productive service sectors such as trade, construction, and transportation. During 2016–2019, economic and employment growth has come from skill-intensive sectors, but as most workers in Kenya don't possess the required skills to access those available jobs, it means that growth is becoming less inclusive. There has been an overall decline in the share of lower-skilled workers across all sectors between these same years, evidencing discouragement and a fall in labor force participation among those less educated and vulnerable. Thus, it seems that the gains from labor reallocations are fading (World Bank, 2023d).

Job creators, *firms*, are predominantly small and informal, operating mostly in the services sector, which has a limited capacity to trade, expand, and pay higher wages. Although data limitations prevent studying the evolution of firm creation and its characteristics during the growth period, surveys from recent years give a snapshot of Kenya's private sector, particularly with regard to micro, small, and medium sized enterprises (MSMEs). In 2016, there were over 7.4 million MSMEs in Kenya.[28] Out of these, 6.4 million (91 percent) were informal micro establishments, of which 4.8 million are one person establishments. Micro establishments (1–4 workers) account for 63 percent of workers in MSMEs, while medium sized firms (20-99 workers) account for 0.7 percent of firms

[28] The World Bank 2023 Kenya Jobs Diagnostics uses the 2016 MSME survey for licensed and unlicensed business.

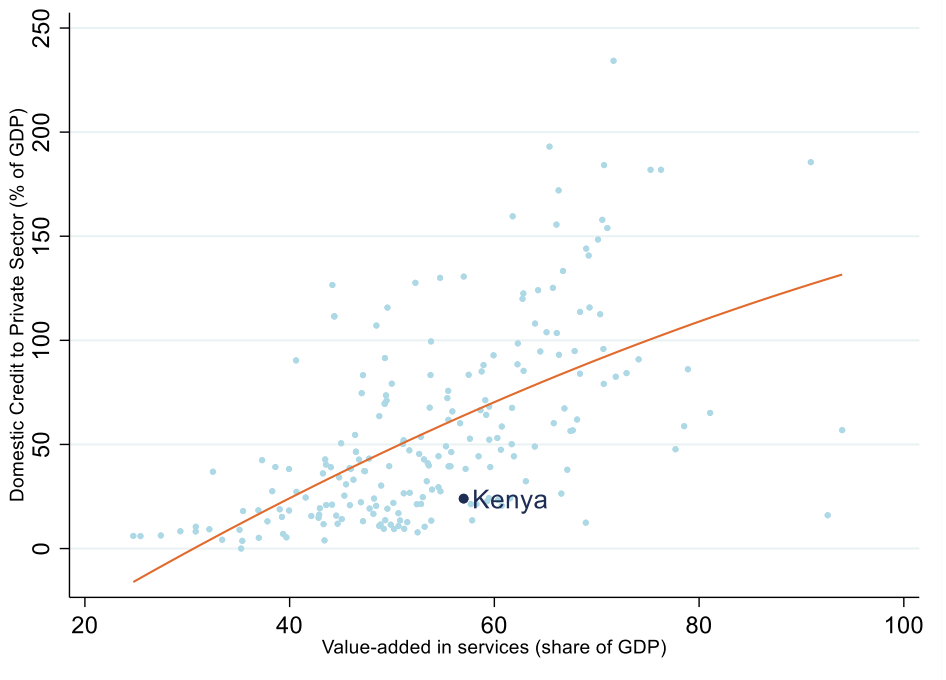
and 12.3 percent of workers. Around 85 percent of MSMEs are in the services sector, with trade accounting for 62 percent of all. In contrast, the finance sector has the highest percentage of formal MSME (World Bank 2023e).

The biggest sector of the economy, the services sector, is weakly linked to the rest of the economy. Services are crucial for other sectors to develop, both because they provide inputs for production ("upstream enablers") and are bundled with products of other sectors ("downstream complements"). However, in Kenya, the services sector is weakly linked both within and across sectors. For example, the manufacturing sector could benefit more from professional and ICT services. For firms, information costs are high, and there are important costs to find new buyers or suppliers (World Bank, 2023a).

Firms seem to be struggling to access credit. As reflected before, increased public domestic borrowing seems to be crowding out the private sector via high interest rates and reductions of the availability of credit (Figure 21). In the past, direct policy interventions accentuated these challenges. The interest rate caps on loans and interest floor on deposits in 2016 led to significant credit misallocation, with commercial banks shifting from lending to the private sector, especially to MSMEs, to investing in government securities (Alper et al., 2019). Although the cap was lifted in 2019, the subsequent COVID-19 pandemic hit already a struggling sector. Moreover, it seems that Kenya's financial sector is relatively small for the size of its biggest sector in the economy—services. Countries with their same level of service's share of in their economies provide around twice as much of credit to its private sector, on average (Figure 37).

Kenya's domestic credit to the private sector seems highly responsive to real interest rates, suggesting a supply-side constraint in access to finance

Figure 37. Domestic credit to the private sector and value-added in services (share of GDP), 2019



Source: WDI.

The provision of transversal inputs for production, especially in the transport, energy, and telecommunications sectors, seems challenged. In the transport sector, despite the important infrastructure investments made during the last decade, urban mobility is not easy. Traffic congestion and air pollution are key issues in Kenya's major cities due to rapid motorization and the limited availability of public transport services, particularly in the form of scheduled bus and/or rail services to move large numbers of travelers. In addition to the growing number of vehicles, the low fuel efficiency of the available urban transport services (*matatus*—privately owned minibuses used as shared taxis) and private cars are adversely affecting the urban environment. At the same time, the energy sector faces significant challenges. The weak financial and operational performance of the Kenya Power & Lighting Company (KPLC), which has large outstanding payables to power generators and other suppliers, is creating high technical and commercial losses that have reached their highest levels in decades and the deterioration of the power supply quality. Moreover, despite significant progress made in increasing the number of digital services on offer, fixed broadband penetration reaches only 9.2 percent of households versus 15.3 regional average.[29] Internet usage continues to lag at 29 percent behind key regional comparators. The country still falls well short of its ICT Masterplan's target of 80 percent of public services online (equivalent to around 5,000 services) and ranks 113th globally and 10th in Africa in the 2022 UN eGovernment Development Index.

- **Key principles to address productivity constraints**

Overall, increasing the productivity of the private sector is essential to achieving a sustained, inclusive, and balanced economic growth with quality jobs.[30] It is well studied that productivity is a key component for sustained economic growth, explaining most per capita income differences across countries.[31] In Sub-Saharan Africa, the productivity gap relative to high-income countries reflects the large productivity differences across sectors and production units (farms and firms), where inefficiencies in the allocation of capital and labor play a substantial role and that translate into lower wages (Calderon, 2022). From an inclusion perspective, it is important that productivity increases across all groups—most Kenyans are either self-employed or work in micro, small or medium enterprises (MSMEs).

Moreover, accelerating economic transformation is needed for Kenya to create better jobs and reducing the skills gap between high and low skilled workers. Economies transform when more people join the labor force and find jobs, become more productive at them, or reallocate to more productive jobs. As a result, average labor productivity rises with labor incomes. At the same time, economies transform and grow faster when workers move along several dimensions: from rural to urban, from low-skilled to higher-skilled occupations, and from small, capital-thin firms to more complex capital-intensive firms and waged formal jobs (Merotto et al, 2018). It is by increasing the productivity of the majority of low-skilled workers and firms that Kenya will sort this constraint, make growth more inclusive, and transit to an upper-middle income country.

[29] They increased from 18.9 percent in June 2017 to 23 percent in June 2023.
[30] The following is drawn from World Bank (2023f).
[31] Among others, see: Syverson (2011), Caselli (2016), Dieppe (2021), Kin and Loayza (2019), and Calderon (2022).

Boosting innovation and technological adoption by firms is a first step toward raising productivity. There are potential productivity and international competitiveness gains from measures that encourage more technological take-up by firms, including by stimulating access and competition. For example, digital technologies are positively related to productivity gains. They also enable firms to reach wider markets. Expanding access to the internet—and particularly to broadband internet—is crucial. But access alone is not sufficient—firm capabilities need to improve within the entrepreneurial ecosystem to support the adoption of technology.

Removing barriers to competition and promoting private sector initiatives in sectors such as transport, energy, and telecommunications is important to increase productivity, which includes reassessing the footprint of the state in the economy. Restrictions to competition remain present in key sectors, especially in enabling infrastructure, energy, and telecom. Reducing these restrictions to create a level-playing field and discouraging anticompetitive practices can induce much-needed productivity growth. Increasing competition will also require a reassessment of the footprint of the state in commercial activities. The World Bank's *Business of the State* analysis suggests that close to two-thirds of firms with (partial) state ownership operate in sectors with a weak rationale for direct government participation (World Bank, 2023g). The passing of the Privatization Act and the Ownership Policy for Government-Owned Enterprises provide an opportunity.

Strengthening the linkages between the services sector with the rest of the economy is key. Policy interventions that reduce search and matching costs for firms – e.g. through matchmaking activities – can strengthen linkages within and across sectors. Similarly, interventions can directly promote linkages through supplier development programs. Lastly, sharing information, creating peer-to-peer networks, and providing business training can alleviate a lack of information on the usefulness and availability of linking services (World Bank, 2023a).

Improving the business environment and reducing the regulatory burden for firms will also support productivity enhancements. Senior management of businesses in Kenya spend significantly more time in dealing with regulations than in other peer countries—highlighting the complexity and inefficiency of the business environment in Kenya. Differing regulations across sectors and counties, especially around licensing and as a consequence of the devolution process, further increase the regulatory burden. Reducing this burden is an important element of improving the business environment (World Bank, 2023f).

Access to finance is a key constraint that warrants attention. Outside of agriculture, most workers are self-employed or employed in micro-sized firms. A key constraint faced by MSMEs in Kenya is lack of access to start-up capital, among several others. Most micro firms rely on their own funding to start up as well as continue to operate, with very low access to either banks or microfinance institutions. Young low-income entrepreneurs do not have savings to fall back on, which poses a barrier for them to start a business. Women face additional barriers in accessing credit (Alper et al., 2019).

Increasing productivity in the agricultural sector is particularly important for the incomes of rural households—a large share of the poor work in the agricultural sector. Growth in the agricultural sector fluctuates due to periodic shocks such as rainfall, pests and diseases, and changes

in input prices. Agricultural productivity is affected by limited government financing to the sector. Lack of physical infrastructure, little access to credit, continued reliance on rainfall, deteriorating soil conditions, and fragmented land holdings are some of the key priorities to raise productivity in agriculture. In addition, government interventions are distorting input and cereal markets, requiring special attention (World Bank, 2023b, and World Bank, 2023f*).*

To further support closing the skill gap and making sure growth is inclusive, it is important to tackle the challenge of low skills among current and future workers, especially the most vulnerable. Investment in early childhood development, increasing primary healthcare coverage, and increasing the quality of education will provide fundamental skills increase productivity and adapt to changing skills demands. In addition, lifelong learning remains important in the inclusion of many people in productive jobs. Supporting on-the-job training and intermediation could both increase workers' participation in the labor market, facilitate job matching, and boost productivity.



D. Climate constraints[32]

Even though Kenya has contributed little to climate change, it suffers disproportionately from it.

The country's prospects for sustained and inclusive growth with poverty reduction are vulnerable to climate change. Kenya is highly exposed to climate change, mostly because of its economic structure. Precipitation fluctuates significantly on an annual basis, and it seems that Kenya will get wetter over the next few years (World Bank, 2023b), affecting its primarily its agricultural sector, which represents a significant share of the economy, exports, and jobs.[33] Moreover, poor, and vulnerable workers will be differentially impacted by climate shocks, as they rely more on agriculture and less productive jobs as their main source of income. Climate shocks are compounded by natural resource challenges, with about 85 percent of Kenya's land area classified as a fragile arid and semi-arid ecosystem, which is largely pastoral.

Kenya is already experiencing severe climate disruptions. Estimates suggest that more than 70 percent of disasters from natural hazards are attributable to extreme climatic events. The repeating patterns of floods and droughts in the country have had devastating impacts and high economic costs. They also appear to be increasing in frequency. And although droughts often affect the whole country, the most severe impacts are felt in the country's highly arid zones, which include many of the poorest counties. Floods and droughts have also resulted in episodes of acute food insecurity and loss of assets, with 14 counties already being classified as having at least acute food insecurity.

Extreme weather events, in addition to illegal activities and economic factors, are hindering the achievement of Kenya's NDC commitments, including target of forests and landscape restoration. Kenya has committed to reduce 32 percent of greenhouse gas emissions by 2030 as part of its updated Nationally Determined Contribution (NDC) policy (2020). In addition, the country has

[32] Based on World Bank, 2023b. Country Climate and Development Report.
[33] Employment shares in agriculture reached 45 percent of the total by 2019 (using survey data, KCHS 2019), or about 33 percent in 2023 (ILO estimates)

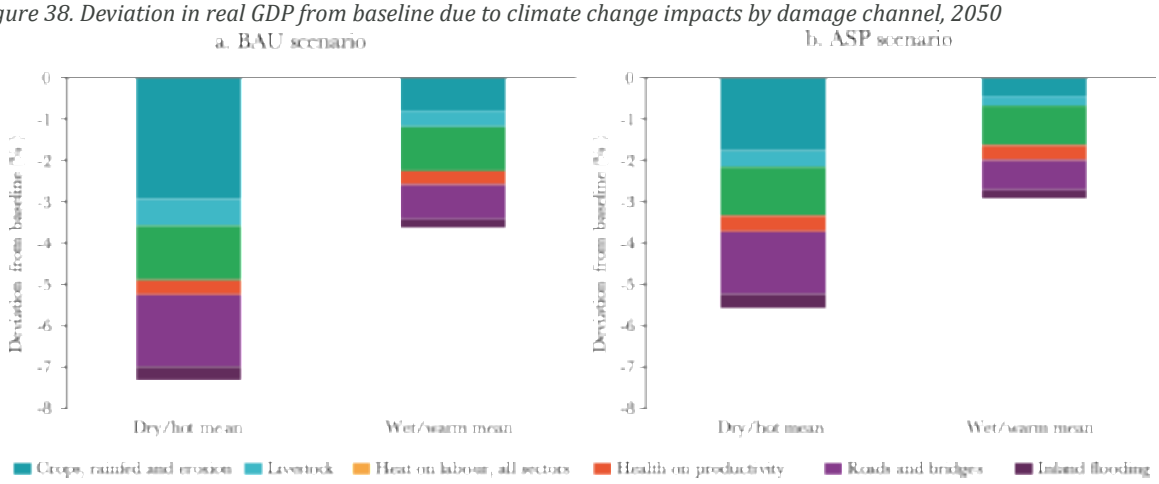
the objective to reach 30 percent of tree cover by 2032, from the current 12.4 percent. This means growing a total of 15 billion trees, including restoring 10.6 million acres of degraded forests and rangelands by the same year (MECCF, 2023). However, deforestation is persistent from year to year; according to World Bank (2023b), Kenya is losing 115km^2 of forest and tree cover per year – the equivalent of 6 to 6.7 million tons of CO2e per year, accounting for 7 to 8 percent of Kenya's total emissions. Droughts of different durations have immediate or lagged effects on forest loss, in addition to economic and demographic factors (Wang et al, 2023).[34] A new growth strategy coupled with new financing avenues is crucial to face this challenge and ensuring a balance between economic development and environmental conservation in Kenya (Hanusch and Ferreira Filho 2026).

Moreover, the country's wildlife natural wealth may be in danger. Kenya has seen a collapse in its wildlife - since the 1980s, the country has lost more than half of its wildlife biomass (Damania et al, 2019). Key reasons for this decline include population growth, the expansion of agriculture, intrusive infrastructure, among others. This poses a significant threat not only to the country's vast biodiversity but has important economic consequences in terms of potential tourism opportunities. Climate change, importantly changes in precipitation patterns across the country, puts additional pressures on wildlife and natural habitats.

Inaction to climate change could setback growth projections and push more Kenyans into poverty. Given recent and future trends, inaction to climate change could imply a 3.6–7.3 percent reduction in real GDP by 2050 if Kenya continues to grow at 5 percent per year (BAU—business as usual scenario). And even if the country grows at 7.5 percent per year, close to the 7.2 percent average growth from the BETA plan, loses would amount to between 2.8–5.3 percent of GDP (ASP—aspirational scenario). The lack of climate action will be more consequential in rural areas, and in arid and semi-arid counties. Although the channels through which climate change affect GDP vary depending on the projected changes in precipitation and temperatures, it is expected that crops, livestock, heat stress on labor productivity, heat related shocks, damages on roads and bridges, and inland flooding are the most consequential to GDP loses. For example, heat stress on labor productivity could lead to GDP loses of between 1.3 and 0.9 percent during the same period. Through these channels, poverty reduction will also experience a setback. In a warmer and dryer future, the gains in poverty reduction will be less, pushing 1.1 million more people into poverty by 2050 compared to a scenario where climate doesn't vary substantially (Figure 38).

[34] An econometric model is applied for the Kenyan case following Wang et al. (2023). Estimates reveal that, in addition to droughts, favorable terms of trade and population growth raise deforestation pressures in subsequent years for Kenya. International commodity prices are major drivers for agricultural products that are exported. In contrast, global beef prices were discarded by the model as a predictor: while cattle ranching does affect deforestation, livestock products are primarily consumed domestically.

Figure 38. Deviation in real GDP from baseline due to climate change impacts by damage channel, 2050



Source: World Bank, 2023b.

- **Key principles to address climate constraints.**

Climate action is urgent if Kenya is to meet its aspiration of becoming an upper-middle-income country in the next decade. Investing in adaptation and resilience to climate change is paramount to achieve water and food security, not undermine labor productivity (across all sectors), and prevent increased infrastructure disruption from climate events (energy, water, transport, digital, housing, etc.). To further reduce the impact of climate change, climate resilience-oriented water, land and forest management, resilient cities, energy, transport and digital systems, basic services (health, education, WASH), and adaptive social protection systems will all require further public and private investment.

Kenya faces economic, rather than absolute, water scarcity, as there are water resources it has yet to harness for productive uses. For water security, water, food, and energy systems must transform at a faster pace over the next 30 years than they have over the past 60 years. Addressing its economic water scarcity will require further investment in water storage, conveyance, irrigation, and water supply infrastructure, as set out in the proposed National Irrigation Sector Investment Plan and National Water Sector Investment Plan, respectively. Decisions on where and how to develop Kenya's remaining freshwater resources are urgent and need to factor in future development and climate.

Restoring and improving the management of Kenya's forests can provide the natural water storage the country needs to smooth out climate change impacts on water availability and unlock opportunities for private and community investment in goods and services from forested lands. Forest degradation and deforestation are the result of illegal encroachment for agricultural expansion, infrastructure extension, and mining, unsustainable fuelwood and charcoal production, uncontrolled livestock grazing, and forest fires. Accelerating the registration of community lands is a low-cost investment that would provide tenure security and unlock opportunities for communities to engage in sustainable economic activities that use natural assets.

On public lands (i.e., forest areas and protected areas), enabling sustainable forest management can attract private and community investment in management of forest products and ecosystem services (including wildlife habitat). Linking landscape and ecosystem restoration actions, which address the drivers of forest degradation and deforestation, with economic opportunities will enhance their effectiveness in augmenting climate resilience while contributing to inclusive growth.

Achieving Kenya's stated target for self-sufficiency in food security with the anticipated impacts of climate change requires developing and disseminating technologies, innovations, and management practices. Widespread deployment of technologies, innovations, and management practices—such as sustainable seed systems, expanded irrigation, improved product storage, improved animal nutrition and herd health—could increase cereal production and livestock productivity. Improving irrigation could increase outputs by 100–400 percent. Private sector interest in boosting agricultural productivity and value-added can help Kenya expand into a variety of agro-processing and value-addition activities, as already evidenced in the cut flower, horticulture, dairy, tea, and agricultural input markets. Private sector involvement in developing marketing infrastructure and regional and international quality and safety standards could enable Kenyan farmers to add value to their tea, coffee, pyrethrum, milk, beef, fruit, and vegetable products. Empowering farmer organizations to deliver market support services and PPPs would scale up investments in value-adding technologies.

The country has vast resources and is well positioned to gain from its green potential, able to play a crucial role in the global climate solutions arena and the low-carbon transition.

Kenya can be a key player in the global climate solutions arena and the low-carbon transition. Kenya stands out among African and lower-middle-income countries due to its well-diversified and low-carbon energy mix, with about 90 percent of electricity generation coming from renewable resources. Many countries' efforts to lower greenhouse gas (GHG) emissions and meet their nationally determined contribution (NDC) commitments are resulting in the reconfiguration of global supply chains and expanding green markets. Global efforts to lower GHG emissions are also creating a growing appetite for internationally transferable carbon credits that can be used to meet NDC commitments or other compliance requirements. Maintaining a low-carbon-intensity growth profile puts the country in a good position to be part of global efforts to decarbonize supply chains and, in the case of the power sector, can be achieved at a nominal additional cost. Private sector investment in climate action will be vital to sustain inclusive and climate-resilient growth.

Kenya has a unique opportunity to stay on a low-carbon growth path while meeting its power needs entirely from green energy sources. This would require a multifaceted approach to expand renewable energy, green transport, and logistics operations (freight transportation and supply chains), and to leverage the country's comparative advantage in the digital arena. For example, geothermal could support Kenya's mitigation of exposure to climate risks as it provides low-cost, reliable renewable generation, while lowering the carbon footprint of its transport and logistics operations could be additionally beneficial for Kenya's trade constraint and fiscal costs on fuel subsidies. To address Kenya's road transport emissions, measures targeting engine energy efficiency and other factors can have a significant impact, particularly in freight transport. Finally, smart metering and digital technologies can also improve the reliability and efficiency of electricity transmission, while digital technologies are central to early warning systems and precision

agriculture, helping reduce wasteful use of inputs (including water and fertilizer) and crop and commodity losses.

Investments in climate solutions and low-carbon growth requires complementary development of resilient and affordable cities, support on skills training, and development of targeted social protection, for these investments to benefit Kenya's citizenry. For climate compatible growth in Kenya's existing and emerging cities, urban institutions must improve their capacity for data management, data use, and climate risk-informed planning and infrastructure design. Better linking cities and food production centers will be important to support affordable cost of living. Equally important is a green and reliable public transport system that is an integrated and improved multimodal public transport system, that includes non-motorized transport options, and shifting from a car- to a people-centric approach.

There is significant space for Kenya to leverage from climate financing instruments. Kenya's current levels of climate finance level are only one-third of what the country needs to achieve its Nationally Determined Contributions (NDC) goals. One instrument identified by the Kenya CCDR to address this challenge are carbon (credit) markets, which could function as a source of non-debt, results-based financing that does not require prior assets or collateral. Carbon market projects (e.g., forestry and land use projects) offer an opportunity to mobilize finance not only for mitigation, but also for communities, biodiversity, and climate adaptation. Kenya is already host to some of the largest nature-based carbon credit projects in Africa, and the GoK has signaled a strong commitment to make carbon markets the "next big export." To ensure the scalability and integrity of carbon markets, Kenya needs a strong and consistent regulatory framework to clarify the rules and institutional processes for engaging in them. Beyond carbon markets, the Kenya CCDR also noted the unique opportunity to leverage sovereign green bonds and sustainability-linked financing (SLF) to address the sovereign debt and climate challenge simultaneously. Both green bonds and SLF can help Kenya attract more attractive financing for its development priorities, and the World Bank is currently supporting the GoK in designing and issuing an sustainability-linked loan.

Efforts towards conversation of natural habitats must be strengthened, including balancing potential trade-offs. For example, conservancies can play an important role for tourism, as it both preserves critical wildlife habitats and are an important source of income; it accounts for an average of 83 percent of commercial revenues. However, many underserved regions in the country also have big infrastructure deficits to cover, which might offer greater payoffs than promoting a tourism-based economy. It is key, therefore, to put in place enabling policies that provide access to conservancies and but also the benefits are shared with the population in a sustainable way.

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